MASTER OFFLINE AGREEMENT

This Master Offline Agreement (" **Agreement** ") is executed at New Delhi and shall be effective from Effective Date by and between;

PAYTM PAYMENTS SERVICES LIMITED, a company incorporated under the provisions of the Companies Act, 2013 having its registered office at 1st Floor, Devika Tower, Nehru Place, New Delhi-110 019 and its principal place of business at One Skymark, Tower -D, Plot No H-10 B Sector- 98, Noida, Uttar Pradesh - 201304 (hereinafter referred to as " **PPSL** ", which term shall, unless repugnant to the context or meaning thereof, mean and include its permitted assigns, administrators and successors) of the ONE PART;

AND

Entity means entity referred in Entity Details Form in the Agreement.

(Both " **PPSL** " and " **Entity** " are hereinafter individually referred to as a " **Party** " and collectively as " **Parties** ".)

WHEREAS:

1. PPSL is engaged in the business of providing payment aggregation services for merchants undertaking business in Entity Outlets, and has partnered with several banks/financial institutions to enable multiple payment related services through Paytm Services as envisaged under this Agreement.
2. PPSL has partnered with several banks/financial institutions to enable multiple payment related services through Paytm Services as envisaged under this Agreement.
3. Entity is desirous of offering its Customers the option to pay through Devices for its Products or Services purchased/ availed.
4. PPSL has agreed to provide its services to Entity and Entity has agreed to avail the Paytm Services on the following terms and conditions set forth herein below.

NOW THE PARTIES HEREBY AGREE AS FOLLOWS:

1. **DEFINITIONS**

Unless repugnant to the context or meaning thereof, the terms defined herein shall have the following meaning:

1.1. **"Acquiring Bank"** means the bank with which the Entity shall have an arrangement for the purpose of payment processed through Credit Cards, Debit Cards, International cards in association with card Schemes like VISA, MasterCard, Rupay, American Express and any other payment instrument as agreed between the Entity and the said bank through the Device.

1.2. " **Affiliate** " means a person that controls, is controlled by or is under common control with, another person. For the purpose of this definition "control" shall mean the power to direct the management and policies, directly or indirectly, whether through the ownership of voting securities, by contract or otherwise and the terms "controlling" and "controlled" shall have co-relative meanings to the foregoing.

1.3. **"All in One Printer Device"** means a smart device that will act as a part of the Device providing audio transaction updates to the Entity and printed receipt as an acknowledgement of successful payment. This Device will come with network connectivity through a SIM card and will have a speaker and printer. Once the Customer makes the payment by scanning the QR code, the All in One Printer Device will notify the Entity notify that the payment is completed successfully by announcing the amount loudly on a successful transaction and if applicable, print receipt as an acknowledgement of successful payment.

1.4. **"Application Programming Interface"** or **"API"** means the API including any documentations, source code, executable applications and other materials made available for integration of Entity POS with the Paytm Platform.

1.5. **"Authentication"** shall mean the process by which the Customer's identification is authenticated.

1.6. **“Authorization”** shall mean the process by which the Issuing Bank/Facility Providers and/or the relevant Card Association communicate the approval of the charge on the Customer upon receipt of the Customer’s instruction in respect of the payment against the Transaction.

1.7. “ **Bill** ” would mean fees and charges, or any other amount that is collectible by the Entity in consideration of the Services rendered /Goods sold by the Entity to the Customer.

1.8. “ **Brand** ” shall mean the actual owner or manufacturer of any Product/Services being sold by Entity to Customer(s).

1.9. “ **BQR”** shall stand for Bharat QR.

1.10. **“BQR Facility”** shall mean the facility provided by the Facility Provider to PPSL to enable Customers to make payments to the Entity by effecting a Transaction through a Card by utilizing the QR;

1.11. “ **BQR Transaction(s)** ” shall mean the payments made by a Customer through the BQR Facility;

1.12. “ **Brand EMI** ” shall mean the Equated Monthly Installment (EMI) services offered by the Brand and its related subvention amount on its Goods/Products.

1.13. “ **Business Day** ” shall mean any day on which the bank is open for business.

1.14. “ **Card Associations** ” shall mean and include Master Card, Visa, Rupay, Diners Card, American Express Card, or any other card association as may be specified by PPSL from time to time.

1.15. “ **Card Association Rules** ” mean the rules, regulations, releases, guidelines, processes, interpretations and other requirements imposed by any card association as applicable.

1.16. **“Card Transaction”** shall mean the transaction of purchase of any Products by the Customer by making payment for such Products by using a Card on the Device of the relevant Entity.

1.17. “ **Chargeback** ” means a payment made in respect of any Transaction, which proves to be uncollectible from the Customer and in respect of which the Issuing Bank/ Facility Provider/ Card Association/ RBI/ NPCI or Partner(ed) Bank brings a claim against PPSL based on any of the following reasons including but not limited to:

(i) charge/debit for Products/ Services in excess of the relevant purchase price/ service fee;

(ii) charge/debit for undelivered Products/ Services;

(iii) Products/ Services purchased not being as they were promised or being defective, deficient and /or unsatisfactory for any reason whatsoever;

(iv) charge/debit arising out of any alleged hacking or breach of security or encryption of, or system error attributable to Merchant’s system;

(v) fraud on the part of the seller of the Products/ Services;

(vi) duplicate charge

1.18. “ **Convenience Fee** ” refers to the instrument-wise fees levied by PPSL to Entity’s Customers for facilitating the Payment Instruments to the Customers.

1.19. **“Customer** ” means any person holding a valid Payment Instrument and who enters into Transaction with the Entity and makes payment for the same through Paytm Services.

1.20. “ **Customer Charge** ” means and includes (a) the base price of the Product / Service purchased or availed plus the shipping charge (if any) and all other taxes, including Goods & Service tax (“GST”), duties, costs, charges and expenses in respect of the Product / Service; and/or (b) amount of Bill that are to be charged to the Customer’s valid Payment Instrument and processed and settled through the Paytm Service

1.21. “ **Customer Order** ” shall mean an order placed by the Customer for purchase of Products and/ or for availing of Services provided by Entity.

1.22. “ **Device** ” shall mean device(s) such as EDC Machine, DQR Device, Soundbox, All in One Printer Device, Static QR code standee etc., owned and/or provided by PPSL to the Entity, through which PPSL facilitates Payment Services and/or payment related services.

1.23. **“DQR Device”** shall mean a Dynamic Quick Response Device or a similar device, which is a payment terminal owned and provided by PPSL through which the Entity can receive payments of made by Customers by scanning the QR generated through the Device.

1.24. “ **EMI** ” means equated monthly instalments.

1.25. “ **Entity / Merchant Outlet** ” shall mean and include the physical outlet of the Entity and may also include franchisee model stores and the Entity owned stores being operated across various locations all over India which are communicated to PPSL.

1.26. “ **Entity POS** ” means the software used at Entity’s end to integrate Entity’s billing systems with Paytm Platform to enable its Customers pay for the Products/Services provided by Entity.

1.27. **“EDC Machine”** shall mean electronic data capture (EDC) hardware (also known as a card swipe machine), which is a payment terminal owned and provided by PPSL on which the Entity can swipe or dip cards, to receive payments and which enables the Entity to securely pass the Card details of Customers to Card Associations in obtaining the Authorization of the payments of the Customers.

1.28. **“Effective Date”** shall mean the date when PPSL executes this Agreement. All transactions contemplated under this Agreement (including transactions, if any, undertaken prior to the Effective date) shall be governed by the terms and conditions of this Agreement.

1.29. **“Escrow Bank Account”** means and includes all INR denominated current accounts and/or sub-accounts opened and maintained by the PPSL with the Escrow Bank in accordance with RBI Guidelines for the purpose of pooling funds collected from the Customers on behalf of the Entity through Device and facilitating the transfer of these funds in final settlement to the Entity and other permitted payments after deduction of such service charges as per this Agreement.

1.30. “ **Facility Provider(s**)” shall mean and connote various Banks, financial institutions and various software providers who have signed with PPSL from time to time and allow PPSL to use the payment gateways developed by them to route card, UPI, transactions etc. entered into on the Device to third party clearing houses/ Issuing Banks and shall also mean and connote non-banking financial institutions and/or banks and/or any other financial institutions that are providing the EMI facility to Customer(s).

1.31. “ **Force Majeure Event** ” means any event due to any cause beyond the reasonable control of the Party, including, without limitation, unavailability of any communication system, sabotage, fire, flood, epidemic, pandemic, Act of God, civil commotion, strikes of any kind, riots, insurrection, war , acts of government, computer hacking, unauthorized access to computer data and storage devices, computer crashes etc.

1.32. “ **Intellectual Property** ” means and includes all intellectual property, in any part of the world, whether registered or not registered, in particular:(a) all trademarks, service marks, trade names, logos; patents, design rights; trade secrets, including, know-how, technology, formulae, industrial, scientific and commercial information, techniques and inventions; processes, manuals, documentation, and scientific and technical data and information; copyrights, works of authorship, and topography rights, data base rights; computer hardware and software including computer programs and any other information in relation to the above; It also covers technical know-how and information, business and market information, in relation to product and process development validation, integrated business support services, operational support services, end user services, training and support service, marketing and other allied services.

1.33. **“Issuing Bank”**, means the bank or financial institution which has issued the Payment Instrument to the Customer.

1.34. “ **Merchant(s)/Entity** ” shall mean and include the merchants authorised by PPSL to avail its services for the purpose of collecting payment effected in their favour by Customers against purchase of Products/Services from them;

1.35. “ **Merchant Discount Rate** ” shall mean the fee levied by PPSL on Entity in relation to Settlement of Transactions and includes the interchange fee, switching fee and any other fees that may be levied by PPSL for facilitating the completion of the Transaction and deducted from the Transaction Amount.

1.36. **“NPCI”** shall mean National Payments Corporation of India.

1.37. **“Partner Acquiring Products”** shall mean a semi closed prepaid payment instrument issued by Partnered Bank, which can be used by the Customer against the value stored to purchase goods and services, including financial services at a group of clearly identified Merchant / Entity locations /establishments/POS.

1.38. **“Partner(ed) Bank”** means the banking institution partnered by PPSL for providing banking and other financial services including *inter alia* facilitating payments effected towards Transactions by use of different Payment Instrument for the purpose of payment processed through Credit Cards, Debit Cards, International cards in association with card Schemes like VISA, MasterCard, Rupay, American Express and any other payment instrument as agreed between PPSL and the said Bank through the Device.

1.39. **“Payment Instrument”** means a Credit Card, Debit Card, International Card, Prepaid Cash Card, Unified Payment Interface (UPI), or such other methods of payments/features/services which shall be developed or added or deployed by PPSL in its discretion (including but not limited to Paytm Cash, Digital Gold etc.) or Facility Providers or financial institutions from time to time.

1.40. **“Payment Mechanism”** shall:

(a) in respect of the Card Transaction effected on the EDC Terminal, mean the mechanism which enables the making and processing of payments by using the Card on the EDC Terminal;

(b) in respect of the UPI Transaction, mean the mechanism that enables the making and processing of payments through UPI Transactions made using the UPI Facility;

(c) in respect of the BQR Transactions, mean the mechanism that enables the making and processing of BQR Transactions using the BQR Facility;

(d) in respect of any other mode of transaction, mean the mechanism that enables the making and processing of such transactions in accordance with the terms and conditions stipulated by the Partnered Bank from time to time.

1.1. **"Paytm Platform"** shall mean the PPSL software hosted on the remote server or cloud server to route and facilitate processing of Transaction that connects the Entity with the Payment Services and other Facility Providers to accept payments from the Customer.

1.2. **"Payment Services"** means payment processing services, including payment gateways, obtained by PPSL from Facility Provider(s) for accepting payments by Entity on the Device through Payment Instrument

1.3. **"Paytm Fees"** means applicable charges specified herein (or such other rate as may be revised by PPSL from time to time under intimation to the Entity) plus applicable taxes as may be applicable and payable by the Entity to PPSL in consideration of availing of Paytm Services with respect of every Transaction undertaken by the Customer at the Entity Outlet using Device. Paytm Fee includes Merchant Discount Rate (MDR), Convenience Fee and/or Rental Charges/Software License Fee.

1.4. **"Paytm Services"** means the payment collection services provided by PPSL to Entity through Device in terms of this Agreement and shall include the Paytm Platform, aggregation of Payment Instruments and Payment Mechanisms which shall also include any additional services/features /payment modes provided to Entity, developed or added or deployed by PPSL for the purposes of enabling online collection of the payment.

1.5. **"Product/Services"** means the product / services provided by Entity to its Customers in respect of which payments are made through Paytm Services and Devices.

1.6. **"Proof of Fulfillment"** means original receipts/document of the transaction executed at Entity's end for the Products / Services sold to its Customer.

1.7. " **QR/QR Code** " shall mean a two-dimensional quick response code containing details of the Merchants, which shall be displayed by the PPSL/ Entity on the Entity Outlet to enable the Customers to initiate a BQR Transaction and/or a UPI Transaction;

1.8. **"RBI"** shall mean the Reserve Bank of India.

1.9. " **Refund Policy** " shall mean a policy which lists down the charges that are required to be paid by Entity to PPSL in the event of return, replacement, reverse pick up, loss and/or upgrade of the Device provided by PPSL to Entity more specifically stated in **Annexure A**.

1.10. **"Settlement" / "Settlement Amount"** means the procedure pursuant to which the Transaction Amounts are remitted to the Entity from Escrow Account, after deduction of applicable Paytm Fee and such other amounts as agreed in accordance with the terms of this Agreement and RBI Guidelines.

1.11. **"Sound Box"** means a smart device that will act as a part of the EDC machine providing audio transaction updates to the Entity. This Device will come with network connectivity through a SIM card and will have a speaker and an optional NFC module to enable Tap & Pay based contactless card payment system. Once the Customer makes the payment by scanning the QR code or tapping their card on the enabled NFC module, the Sound Box will notify the Entity that the payment is completed successfully.

1.12. " **Rental Charges /Software License Fee** " means and includes the charges by PPSL levied to Entity for the Device rent, maintenance charges, SIM charges, and the payment software that Transactions on Devices.

1.13. **"SIM Card" or "Card"** shall mean Subscriber Identification Module Smart Card, for use with the Device to enable access to the network in order to avail of the services

1.14. **"Transaction"** means a Card transaction, UPI transaction, BQR transaction and/ or any other transaction effected by the Customer utilising any other modes of payment specified by the Partnered Bank at the Entity Outlet through a valid Payment Instrument on the Device and which is Authenticated and Authorised by the Facility Providers and results in the delivery of the Product(s) / Service(s) in respect of which the Customer Order was placed.

1.15. **"Transaction Amount"** means Customer Charge together with or in addition to, as the case maybe, the applicable Paytm Fee for each Transaction.

1.16. **"UPI"** The Unified Payments Interface (UPI) shall mean instant real-time payment system developed by NPCI to process the transaction for direct debit to the account of the Customer for peer to peer or peer to merchant transaction, when the payment is made through unified payment interface ecosystem offered by NPCI that offers architecture and a set of standard Application Programming Interface (API) specifications to facilitate online payments.

1.17. **"UPI Autopay Mandate"** means and includes one-time mandates as shall be set up by the Entity for payment of Device rentals, whereby the Entity can preauthorize future debit of its bank account.

1.18. **"UPI Facility"** shall mean the facility provided by the Partnered Bank to PPSL for the Merchants to enable the Customers to make payments to the Merchant by an online debit to their respective bank accounts by utilising the UPI.

1.19. **"Valid Credit Card/Debit Card"** means a Visa/MasterCard/American Express/Diners Club/JCB Credit Card / Debit Card provided by the Issuing Banks and which is not listed in Visa/MasterCard's and other current warning bulletins.

2. **SERVICES, CHARGES AND MODE OF PAYMENT IN RELATION TO PAYMENT SERVICES AND OTHER SERVICES** :

2.1 Subject to and in accordance with the terms contained herein and in consideration of the payment of the Paytm Fees in terms of this Agreement, PPSL shall provide to the Entity, based on the requirements of the Entity, Paytm Services to Entity as more elaborately described under Schedule II and III of this Agreement.

2.2 PPSL, through Paytm Platform, will enable the Entity to link up with various Facility Providers so as to enable the Customers to pay for the Transaction Amount through the Device. Entity shall permit the Customer to obtain Authentication and Authorization of Transaction through Paytm Platform to make the payment of Transaction Amount.

2.3 PPSL shall provide services to Entity only to the extent of payment aggregator / intermediary / facilitator of payment platform by integrating Entity with the Paytm Platform and Device. At no point of time, ownership/liabilities of the Products / Services sold by Entity shall be transferred to PPSL or to any of the brand partners of PPSL.

2.4 Entity understands that in order to avail the Paytm Services, the Entity must be approved by and registered with PPSL, the Facility Providers and Escrow Bank. The Entity shall provide PPSL with all such documents as required by PPSL to register the Entity with PPSL, the Facility Providers and Escrow Bank. The Entity further understands and acknowledges that PPSL, the Facility Providers and Escrow Bank have the right to withdraw their approval/consent at any time prior to or after commencement of Paytm Services.

2.5 Both Parties shall work together to link the Paytm Platform with the Entity POS, for the purpose of connecting the Entity POS for Payment Services. The Entity agrees to be responsible at its own costs and for providing and maintaining all necessary equipment, software and facilities at its end so as to connect the Entity POS to the Paytm Platform.

2.6 Entity hereby authorizes PPSL to collect the entire Transaction Amount on behalf of Entity in its Escrow Bank Account and the same shall be remitted to the Entity’s specified bank account as per Applicable Laws, after deducting Paytm Fee, applicable taxes and such other amounts as agreed under this Agreement and in accordance with Applicable Laws.

2.7 PPSL shall have the right to render Paytm Services to the Entity with the support of third-party service providers in accordance with ‘Framework for outsourcing of Payments and Settlement related activities by Payment System Operators” guidelines issued by the Reserve Bank of India and any amendments thereof.

2.8 PPSL will provide to the Entity the Settlement information that will enable the Entity to reconcile (a) Settlement Amount; (b) Paytm Fees and any other amounts, charges, levies, costs, etc levied by PPSL; (c) information of Chargeback and refund; (d) any amounts, charges, levies, costs, etc. due and recoverable from the Entity; (e) any adjustments / offsets and (f) such other additional information required for the Entity to identify and reconcile the Transactions.

2.9 PPSL may provide such Value Added Services, more particularly detailed in Schedule V of this Agreement.

2.10 The Entity undertakes that it shall not share the API of PPSL (including but not limited to information pertaining to credential, MID code or any other information / details to access the Paytm Platform) with any third party or engage any third party to connect the system of Entity with Paytm Platform without explicit written consent of PPSL. Any breach of this obligation shall be construed by PPSL as breach of this Agreement by the Entity and if PPSL becomes aware of such breach, then it has the right to immediately take necessary action including levy of penalty on the Entity and/or suspension or termination of Paytm Services. Further, the Entity understands and acknowledges that PPSL reserves the right to take any other action as per applicable law.

2.11 PPSL, Facility Providers or regulatory authorities shall further have the right to disable or de-activate any one or more Payment Instruments enabled pursuant to this Agreement. Entity acknowledges that such deactivation or disablement may be temporary or final and required on account of any changes / upgrades in the features or facilities associated with such Payment Instruments/modes/facilities or on account of any regulatory requirements or improvement in security, reduction in fraud etc.

2.12 The Entity hereby further unconditionally and irrevocably authorizes PPSL, that upon the Settlement Amount being reversed to Escrow Account due to any reason whatsoever, including but not limited to the reasons such as, the bank account of the Entity being dormant or any other technical issue whether reported or not by the bank in which Entity has its account, PPSL shall have the right to settle/disburse the Settlement Amount to Entity’s alternative bank account as provided by Entity after 3 (three) business days of such reversal of the Settlement Amount. It is therefore agreed and authorized by the Entity that if the Settlement to bank account details as contained in this Agreement fails or is reversed, the Settlement shall be made by PPSL to the specified alternative account of the Entity. Additionally, if Entity opts for current account/saving account (“CASA”) program, a program which may be initiated by PPSL with its partner Bank, then, in such cases, Entity authorizes PPSL to change its settlement account to newly opened bank account as provided by partner Bank. PPSL will notify Entity about change in settlement account and the benefits (including but not limited to modified commercials) thereof, through a push notification/email or other similar medium. If the Entity does not want to change the settlement account then the same should be intimated to PPSL within 5 (five) days of receipt of notification from PPSL, failing which, the same shall be considered as a deemed acceptance by Entity.

3. **AUTHENTICATION AND AUTHORISATION OF TRANSACTION**

3.1 Facility Providers will authenticate, authorize, and process the payment instructions given by the Customers through Paytm Platform in respect of the Transactions upon fulfilment of valid criteria as set forth by the Issuing Banks and the Card Associations from time to time and accordingly transfer such approved Transaction Amount from the Customer valid Payment Instrument to the Escrow Account.

3.2 Entity understands that Facility Providers and/or Card Association may reject authorization of Transaction placed by the Customer for any reason including but not limited to risk management, suspicion of fraudulent, illegal or doubtful Transactions, selling of prohibited items, use of compromised valid cards, use of blacklisted/banned cards or in accordance with the RBI, Facility Providers and/or Card Association rules, guidelines, regulations, etc. and any other laws, rules, regulations, guidelines in force in India, etc.

4. **TRANSACTION LIMITS**

4.1. Entity understands and acknowledges that limits on the number and/or value of purchases charged to an individual Payment Instrument are determined solely by the Issuing Bank or Entity, in accordance with applicable regulations and customer-specific parameters. Entity further understands and acknowledges that PPSL does not impose any such limits on Transaction for a particular Payment Instrument but reserves the right to decline payments for purchases based on operational risk or compliance considerations. Risk considerations may include transaction amount, transaction frequency, prospective fraud lists, geographic location, and suspected fraudulent activity. PPSL maintains a comprehensive risk management framework that includes setting appropriate transaction limits based on ongoing risk assessments. These limits are regularly reviewed and adjusted based on evolving risk profiles. These measures are taken to mitigate frauds on the Entity and are intended to comply with all Applicable Laws.

5. **SETTLEMENT**

5.1. PPSL shall maintain the amount collected by it in an Escrow Bank Account.

5.2. PPSL, at its own accord, without prior permission from the Entity may choose to shift the Escrow Bank Account from one bank to another at its own discretion or in accordance with the directions issued by the regulatory authority from time to time.

5.3. Entity understands that “T” shall mean the date on which PPSL receives the Transaction Amount in its Escrow Account. Accordingly, Entity agrees that PPSL shall affect the Settlement within T + 1 Business Day(s), in accordance with RBI Guidelines and Applicable Laws.

5.4. Where an Entity instructs PPSL to make payment of the Transaction Amount or any part thereof, as the case may be, to any of its vendor / sub-merchant or other third party, the Entity declares and shall ensure as under:

5.4.1. Entity’s annual turnover (physical / online), every time when such instruction is being made, is either above #40,00,000/- (Indian Rupees Forty Lac only) or its annual export turnover exceeds #5,00,000/- (Indian Rupees Five Lac only);

5.4.2. The vendor / sub-merchant or other third party, in favour of whom the Entity is making an instruction to PPSL, interfaces with the Customer for the purpose of purchase/delivery of Goods / Services;

5.4.3. The vendor / sub-merchant or other third party has been duly onboarded with Entity after conducting necessary KYC checks, due diligence and in accordance with Applicable Laws.

5.4.4. Entity understands and confirms that, notwithstanding anything to the contrary contained under the Agreement, such vendor / sub-merchant or other third party shall be the payee of the Transaction Amount or any part thereof under the terms of the present Agreement;

5.4.5. The authorized vendor / sub-merchant or other third party has been informed and accords its consent to the Entity to furnish the present statement / declaration and permits PPSL to carry out settlement of Transaction Amount or part thereof, as instructed under this Agreement, after deduction of Paytm Fee, applicable taxes, levies and other fees in terms of this Agreement;

5.5. Transactions in respect of refund or reversed transactions shall be routed back through the Escrow Bank Account. However, Entity may choose entertain the request for refund to Customer of the Entity directly, if Customer has been made aware of such arrangement.

5.6. The Entity shall not route any cash-on-delivery transactions through the Escrow Bank Account.

5.7. PPSL shall credit or debit the Escrow Bank Account only with the transactions as permitted by the regulatory authorities, in terms of the prevailing guidelines. PPSL is permitted to debit Paytm Fees from the Escrow Account.

5.8. PPSL shall share the details of Entity with the bank that maintains the Escrow Bank Account for PPSL.

5.9. Entity shall not be entitled to any interest from the amount that is maintained in the Escrow Bank Account.

5.10. PPSL shall be entitled and the Entity hereby authorizes PPSL to deduct Paytm Fees, refunds, Chargebacks, penalties from each payment received from the Customer before passing on the credit of Customer Charge (net of Paytm Fees, refunds, Chargebacks, penalties) to the Entity.

6. CHARGEBACK

6.1. PPSL will notify the Entity of any chargeback within 24-48 hours of receiving such notification from any Facility Provider or relevant third party, including the details and reasons for the Chargeback request.

6.2. The Entity acknowledges and agrees that in a Chargeback claim on PPSL, PPSL shall have the right to hold the equal amount of said claim from the payable amount to the Entity and also demand the necessary documents as may be required by Facility Provider / Partner(ed) Bank for evidencing the fulfillment and/or delivery of Product/Service by the Entity. Entity agrees to provide the supporting documents to PPSL in respect of a Chargeback within three (03) calendar days of intimation of such Chargeback received or within the timelines as provided by the Facility Provider (s) /concerned authorities, whichever is earlier. Once the required documents are provided by the Entity to PPSL, PPSL shall submit the same to Facility Provider for the scrutinisation, post which the decision of the Facility Provider shall be final and binding. The Entity hereby authorizes PPSL to adjust the Chargeback amount to the extent of the aforesaid uncollectable amount from amount payable to the Entity by PPSL. Such amount shall be reversed to the Entity if the resolution provided by Facility Provider or relevant authorities pertaining to the Chargeback is in favour of Entity.

6.3. Entity further agrees that it shall not raise any concern towards the non-payment of amount with respect to such Customer Order for which Chargeback has been raised by the respective Facility Provider(s) /Customer, as the case may be.

6.4. Entity shall be deemed to have accepted the Chargeback in case the supporting documents are not provided by the Entity within the prescribed timelines. In case of non-submission of the above-said supporting documents within the timelines prescribes as above, the amount in respect of such Chargeback which was debited upfront shall not be reversed and no claim of Entity shall be entertained in this respect.

6.5. Entity agrees that the timing for raising Chargebacks and retrieval requests, any defense of a Chargeback and allocation of related penalties will be handled in accordance with the applicable procedures and/or guidelines set by the Card Association or the applicable regulatory body in India (e.g., the RBI and NPCI).

6.6. Entity agrees that if its chargeback's in any month crosses 1% of total transaction value of that month then:

(a) Entity will submit Bank Guarantee/ Security Deposit equivalent to 2 times of the highest GMV processed in last 6 months

(b) The terms of the BG/ Security Deposit will be re-evaluated after one year or expiry/ termination of the agreement, whichever is earlier.

6.7. In the event of termination of the Agreement, taking into consideration the track record in terms of incidences of chargeback during the tenure of the Agreement and/or the circumstances of termination of the Agreement:

(a) PPSL shall be entitled to withhold amount out of the settlement amounts payable to the Entity in terms of this Agreement to facilitate the settlement and resolution of any chargeback related issues arising out of any Transactions done under this Agreement.

(b) These amounts shall be withheld for a period of 180 days from the date of termination or such longer period as may be then prevailing in respect of the time-period allowed to Customers for initiating a Chargeback and resolution of such disputes under the guidelines issued by Card Association or the Reserve Bank of India.

7. **REFUND**

7.1. Transactions in respect of refund shall be routed back through the Escrow Bank Account, unless the refund is directly managed by the Entity and the Customer has been made aware of the same.

7.2. All the refunds to the customer will be requested and handled as per the Entity's refund/returns policy. For clarity, all refunds shall be made to the Customer only after the deduction from the Settlement Amount of the Entity. In case, there is no forward amount to adjust the refund amount then PPSL shall not be liable to make the refund to the Customer on its behalf. Further, any penalty imposed by RBI on PPSL for delayed refund to the customer shall be borne by the Entity.

7.3. The Entity further acknowledges that PPSL may not be able to process any refunds which are initiated beyond the time period as specified by Facility Providers.

7.4. **Refunds/ Chargebacks in excess of forward settlement amount -**
If PPSL is unable to adjust any refund/ chargeback amount from the settlement amount, an intimation / notice would be sent to the Entity and Entity shall pay such amount to PPSL within 5 business days from the date of intimation. In case Entity fails to pay within the given timelines, PPSL shall be entitled to charge the Entity late payment interest at the rate of 1.5% per month on all late payments from the date of the intimation until the actual date of payment.

8. **CONSIDERATION**

8.1. In consideration of the Paytm Services, Entity hereby authorizes PPSL to retain and deduct Paytm Fee alongwith applicable taxes from Transaction Amount before passing on the credit of the Customer Charge to Entity (net of Paytm Fee, refunds, Chargebacks, penalties and all other amounts recoverable from Entity in the normal course of business).

8.2. PPSL reserves the right to revise the Paytm Fee periodically, and PPSL will intimate (either by email/ or in writing) to the Entity of any such change, which shall become effective on the date mentioned in the intimation. If the Entity has any concerns with the said revision, the Entity may opt out of the particular service to which the revision relates within 15 (fifteen) days of the intimation. After the lapse of the said 15 (fifteen) days, the revision shall have been deemed to be accepted by the Entity. Notwithstanding the aforesaid, in the event of any change / adjustment in any charges by the relevant Facility Providers or basis RBI guidelines, PPSL reserves the right to make corresponding changes in Paytm Fees. The Parties acknowledge that any such change / adjustments in Paytm Fees shall be effective from such date on which such changes are implemented by Facility Providers or RBI, whether retrospective or prospective.

8.3. It is hereby agreed and acknowledged by the Parties that the Paytm Fees charged by PPSL shall not be refunded or repaid by PPSL to the Entity or any other person irrespective of the Transaction Amount being subject to Chargeback, refunded or disputed.

8.4. PPSL will raise invoice as per the provisions of GST Act 2017 for its Paytm Fees and other charges /fees on a monthly basis giving details of Transactions made by Entity within 7 days of the next month.

8.5. PPSL shall collect Paytm Fees i.e., MDR from the Transaction Amount and/or Convenience fees from the Customers at the rates indicated in Schedule IV. The said Paytm Fees set forth in Schedule IV are based on the assumptions and agreed upon operating processes. If the Entity significantly alters its methods of doing business/ line of business/ location of Entity POS, PPSL may revise the Paytm Fees as mutually agreed acceptable fee.

8.6. The MDR / Convenience fee is exclusive of all applicable taxes including (GST), governmental charges, levies, duties etc.

8.7. Entity shall bear and be responsible and liable for the payment of all relevant taxes including GST, duties, levies, cess, surcharge or any other charges in relation to the Service availed by its Customer under this Agreement.

8.8. Entity shall provide its GST registration certificate to PPSL prior to execution of this Agreement.

8.9. Entity understands and confirms that any and all local levies or other charges levied by any central /state/local authorities wherever applicable shall be extra and Entity shall solely be liable for the same.

8.10. All payments by Entity are subject to deduction of TDS on Paytm Fees under Income Tax Act, if applicable. TDS, if any, shall be deposited by the Entity as per applicable laws based the on the invoice raised by PPSL on monthly basis. The same will be reimbursed by PPSL within 30 days from the date of receipt of TDS certificate from the Entity.

8.11. PPSL may demand an appropriate amount of Usage Deposit/bank guarantee during the term of this Agreement depending upon the risk assessment by PPSL/Facility Provider in relation to the Product

/Services provided by the Entity by way of this Agreement. Entity also confirm and agree that it shall submit the said Usage Deposit amount/bank guarantee without any demur and delay within 7 days from the date of intimation by PPSL. Entity also agrees that the Usage Deposit/bank guarantee shall be forfeited by PPSL at its sole discretion in the event of any breach of the terms & conditions of this Agreement and also in case of breach of additional obligations of the Entity mentioned under the undertaking agreed by the Entity. However, PPSL shall refund/discharge the security deposit amount/bank guarantee post completion of six months from the termination or expiry of this Agreement, whichever is later on the basis of risk assessment report only.

8.12. The Entity shall execute the UPI Autopay Mandate for payment of the Device rental. The Entity understands that the Mandate shall be used for recovery of outstanding rentals in the event there is insufficient funds available for such recovery.

9. **NON-EXCLUSIVE:** This Agreement is entered into a non-exclusive Agreement for both the Parties. Either Party is at liberty to enter into similar agreements with any third party.

10. **REPRESENTATIONS AND WARRANTIES OF THE PARTIES**

10.1. Either party hereby undertakes, affirms and agrees that:

a. It is in good standing and that it has full authority to enter into this Agreement and has obtained the necessary approvals, GST registration certificate as per the applicable law, to perform its obligations hereunder according to the terms hereof.

b. It shall take adequate precautions not to breach the privacy of the Customers during the course of performance of its obligations herein.

c. Either Party shall comply with all applicable laws and effectively implement all the provisions of Prevention of Money Laundering Act 2002, Reserve Bank of India (“RBI”), and all enactments or any other statutory, regulatory, legislative or governmental or any other similar authority. Both Party shall at all times implement adequate procedures designed to prevent it or any associated Person from engaging in any activity which would constitute an offence under the Applicable anti-bribery law. Both Party represents that, in connection with this Agreement, no improper financial or other advantage has been, will be or is agreed to be given to any person by or on behalf of other Party or its associated persons. Breach of any of the provisions in this clause or of any applicable anti-bribery law or PPSL Anti-Bribery and Anti-Corruption Policy (available at https://www.paytmpayments.com/statutory-documents) is a material breach of this Agreement for the purpose of termination and, without prejudice to any other right, relief or remedy, entitles to terminate this Agreement immediately. In this regard, the Parties shall specifically ensure that:

i. They shall not offer any gifts, payments, services or other favors to the employees, personnel of the other Party where these would, or might appear to improperly influence the employee in performing his or her duties for such Party. Consistent with each Party’s requirement that all business conducted adheres to Applicable Laws and regulations, the use of bribes, secret compensation or kickbacks is strictly prohibited.

ii. Each Party shall ensure that it and its agents involved (if any) in the performance of this Agreement will comply with all Applicable Laws including anti-bribery, money laundering etc.

iii. For the purpose of the foregoing provision, applicable anti-bribery law means any bribery, fraud, kickback or other similar anti-corruption laws or regulation. Associated Person(s) means in relation to both Parties, a person who (by reference to all the relevant circumstances) performs services for or on behalf of that Party in any capacity and including, without limitation, employees, agents, subsidiaries, representatives and sub-contractor.

10.2. The Entity further represents and warrants that:

a. Unless directed and/ or consented by PPSL in writing or expressly agreed under this Agreement, Entity shall not represent to the Customer in any manner whatsoever that the Entity/ Entity’s Representative is the agent of PPSL /Facility Provider.

b. The Entity shall not hold any of his own marketing or promotional campaigns or actions presenting the involvement of PPSL without the prior written approval from PPSL.

c. It has the right and/or authority to offer the Goods/Services marketed on Entity Outlet.

d. The Entity shall ensure that the utilisation of the Device(s), the UPI Facility and/ or the BQR Facility shall be strictly in accordance with the terms and conditions of this Agreement and that the Entity does not act contrary to the terms and conditions of this Agreement.

e. The Entity shall ensure that they shall use the Devices, UPI Facility and the BQR Facility only for the purpose of transmitting, processing and transmitting the details and specifics in respect of any Transaction, in the manner and upon the terms and conditions provided herein.

f. The Entity shall comply with any and all directions provided by the PPSL or the Partnered Bank, in respect of the operation and maintenance of the Device(s)and availment of BQR Facility or UPI facility.

g. The Entity shall ensure that at all times, only trained personnel and employees of the Entity are allowed to operate the Device(s), the UPI Facility and BQR Facility.

h. The Entity agrees and undertakes and ensures that they shall honour and effect all Transactions which are sought to be made by Customers, the processing and settlement of which is supported by the Partnered Bank.

i. The Entity shall ensure that they do not engage in any practices or procedures that discriminate against, or discourage the use of any specific cards/payment mode whether in favour of cash or any other competing card brand. Without prejudice to the generality of the foregoing, the Entity shall ensure that they do not levy any fees, charges, costs and expenses on any Customer for permitting usage of the Card, BQR Facility/UPI Facility and/or BQR Facility or impose any minimum transaction limit for its use.

j. The Entity shall ensure that the goods and/or service delivered bears the same serial no./IMEI as mentioned on the customer loan agreement. Additionally, it is sole responsibility of the Entity to ensure that goods and/or service delivered is new/is not preactivated or used or refurbished or pre-financed.

k. The Entity shall ensure that the goods and/or service delivered is purchased directly from the manufacturer or from any other manufacturer authorized source and should provide Serial number/IMEI for validation which has been provided by manufacturer at the time of billing to the Entity. Additionally, Entity should be authorized to sell said goods and/or service by the manufacturer.

l. The Entity shall also ensure to have in place the invoice (comprising Serial No./IMEI No., proof of delivery, price, etc.,) with respect to the goods and/or service at all times and shall produce the same to PPSL, as demanded, from time to time.

m. In case Customer denies the delivery of the goods and/or service, it is the sole responsibility of the Entity to produce proof of delivery/signed acknowledgement from the customer.

n. During the performance of obligations, the Entity shall conduct the operations and fulfill the transaction in a bonafide manner. The Entity shall not engage in any willful misconduct or any fraudulent actions which might impede the purpose of the Agreement. The Entity agrees to reimburse PPSL any supervisory or other fee or penalty levied by any authority or third party in connection with this Agreement arising solely due to Entity's default.

11. DISCLOSURES REQUIRED TO AVAIL SERVICES OF PPSL AND FACILITY PROVIDERS

11.1. The Entity shall provide all the relevant details and documents to PPSL for carrying our "Know Your Client" or "Anti-Money Laundering" checks in accordance with the Applicable Laws and internal policies of PPSL. Entity represent, warrants and covenants that it shall provide correct information and valid documents to PPSL to conduct the said checks. Entity further declares that all information, declarations and documents provided by it in relation to its turnover, ultimate beneficiary owners, authorized signatory, politically exposed person(s) ("PEP") and such other information provided by it during its onboarding is accurate and any change in the information provided shall be intimated to PPSL promptly and accurately. Failure to make such a disclosure, or the provision of inaccurate or incomplete information, shall constitute a material breach of this Agreement.

11.2. Entity shall only avail the Paytm Services for the designated/specified business category/business sub-category in Entity Outlet. In order to use the said Paytm Services for any other purpose, Entity shall notify PPSL in writing of such change and such change will be subject to approval by PPSL.

12. INTELLECTUAL PROPERTY AND TRADEMARKS

12.1. Each Party shall own all intellectual property rights in respect of their respective websites and other services.

12.2. Except as expressly set out in this Agreement no assignment of or license under any Intellectual Property Right or Trade Mark or Service Mark, whether registered or not, owned or controlled by a Party is granted to the other by this Agreement.

12.3. No Party may, under any circumstances, seek to register any trademark, business name, business processes, inventions, company name, domain name using or incorporating the Intellectual Property of the other Party and each Party acknowledges that upon expiry or termination of this agreement, it shall have no right whatsoever in connection with the Intellectual Property of the other Party.

12.4. Entity may, at its sole discretion, market, promote, advertise, and inform the Customers and general public of the payment collection services provided herein. Any such activity shall prominently display a statement/logo/image provided by PPSL.

12.5. Any use of a Mark of any Card Association by an Entity in advertising or signs, must be in accordance with the Standards, including the Card Association's reproduction, usage, and artwork Standards, as may be in effect from time to time; and the Entity's use or display of any Mark will terminate effective with the termination of the Agreement, or upon notification by the Card Association to discontinue such use or display.

12.6. The Entity hereby grants PPSL the right to use, display and reproduce its name, brand name, logo, wordmark, trademark, service marks ("Marks") on a non-exclusive, royalty-free basis, solely in connection with the sales, marketing and advertising Paytm Services provided to the Entity, to the public. The Entity hereby releases PPSL from all liability relating to the publication or use of the Marks for such purpose. The Entity hereby confirms that the Entity has the requisite right to use the said Marks and to grant permission to use as stated herein.

12.7. PPSL hereby authorizes the use of statement/logo/marks/image provided by PPSL on the POS on a non-exclusive, royalty-free basis, solely in connection with the Paytm Services as contemplated under this Agreement, to the Entity. The Entity must only use the logos/marks/images provided by PPSL and no other to indicate the availability of PPSL products to the Customers.

13. FRAUDULENT TRANSACTIONS

13.1. If there are reasonable grounds to suspect that a Transaction conducted has been conducted in breach of this Agreement or as a fraudulent transaction, against the Participating Banks or any Customer, PPSL shall be entitled to suspend / withhold the payments of such Transaction(s), pending enquiries by the Participating Bank and resolution of such issues. Provided further that:

a. If settlement has already been made to the Entity for a fraudulent or disputed transaction, the resolution for the same shall be done in accordance with the applicable guidelines laid down by the Card Associations or Reserve Bank of India if any for resolution of such disputes.

b. If the resolution of the fraudulent or disputed transaction, results in a Chargeback of such Transaction, the Transaction Amount shall be adjusted from the settlement amount due to and being remitted to the Entity, in the manner provided in the Chargeback section of this Agreement.

c. If there are insufficient funds available for such recovery, PPSL shall make a claim on the Entity for such Transaction Amount; which, the Entity on receipt of the claim from PPSL undertakes to pay to PPSL with five (5) days of the receipt of the claim from PPSL.

13.2 The Entity shall provide to the Partnered Bank and the authorised representatives of the Partnered Bank and PPSL, access to the Device(s) and QR stickers/ decals and extend all further cooperation as may be required by the Partnered Bank / PPSL, for the prevention and detection of frauds.

14. DATA, SYSTEM SECURITY AND COMPLIANCES

14.1. Neither Party shall, for any reason whatsoever, store any data relating to the Transactions except for tracking of Transactions.

14.2. Both Parties shall ensure that there are proper encryption and security measures at Entity POS, Devices and Paytm Platform, to prevent any hacking into information pertaining to transactions contemplated under this Agreement. The Entity accepts all liabilities with respect to any compromise or unauthorized use or disclosure or access to said information. Entity accepts all liabilities with respect to any compromise or unauthorized use or disclosure or access to the data generated during the Transactions. Entity shall ensure that adequate standards (and no less than the prescribed minimum industry standards) for information and data security infrastructure and systems for prevention and detection of frauds are in place and shall establish a mechanism for monitoring, handling and follow-up of cyber security incidents and breaches.

14.3. Parties have agreed, while Transaction is under process and at the stage of verifying/Authentication /Authorization, Entity shall cooperate and promptly reply to the issues raised by PPSL for confirmation related to Customer Orders/Customer Charges//fulfilment thereof, against which payments are made by Customers using Paytm Services. In the event of any loss being caused as a result of breach of the above, the loss shall be to the account of the Entity only and Entity shall also indemnify PPSL from any loss/damages arising out of any claim by any party including Facility Provider.

14.4. In availing the Paytm Services, the Parties declare, assure and undertake to abide by the relevant laws and security standards/ regulations/ requirements/guidelines which would be applicable to the conduct of the Transactions contemplated under this Agreement, including, without limitation (a) regulatory provisions; (b) security measures and resultant hardware/ software upgrade consequent upon upgrade of systems and procedures with a view to ensuring security of Transactions; and (c) maintenance, protection, confidentiality and such other requirements with respect to Transaction as may be imposed by any regulatory or standards authority, including pursuant to PCI-DSS and /or PCI-SSF, and/or Card Associations and/or Facility Providers, as applicable from time to time.

14.5. In processing the Transactions, PPSL shall be entitled to rely upon all electronic communications, orders or messages sent to PPSL and PPSL shall not be obliged to verify or make further inquiry into the identity of the sender, or the message integrity, of any communications, orders or messages. The Entity shall in no circumstance dispute such reliance by PPSL. Provided that if PPSL were to employ any security measures, PPSL shall not be bound by or obliged to act on any electronic communications, orders or messages received on-line from the Entity or the Customer which do not properly utilize PPSL's security measures as may be applicable from time to time.

14.6. Parties shall comply with the Digital Personal Data Protection Act, 2023 ("Data Protection Laws") that apply in relation to any personal data processed in connection with this Agreement ("Protected Data") and render such assistance and cooperation as is reasonably necessary or requested by PPSL. In case of any personal data being shared by the Entity, PPSL shall process such personal data as per its privacy policy updated on its website from time to time.

14.7. The Entity shall (and shall ensure that its employees, agents and subcontractors shall) be required to maintain such administrative, technical and physical safeguards, and such processes, procedures and checks to secure the information which is received from any Customer or comes into the possession and knowledge of the Entity in the course of processing and Settlement of a Transaction (' **Customer Information** ') as may be required under Applicable Law and/or industry standards or regulations issued by any Governmental Authority, and/or any Card Association, which safeguards must be at least equal to or better than (a) the safeguards it currently has in place to protect its own data; and b) generally accepted security standards in the financial service industry.

14.8. The aforesaid administrative, technical and physical safeguards, processes, procedures and checks will be designed to:

(a) ensure against instances of data phishing, hacking, carding and other instances of breach of security in respect of the data which is transmitted through the Device(s) or through PPSL's switch in case of BQR Transaction or UPI Transaction;

(b) protect the security and confidentiality of the Customer Information in the Merchant's possession relating to the Transactions undertaken by the Customer through the Payment Mechanism;

(c) ensure protection against any anticipated threats or hazards to the security and confidentiality of Customer Information;

(d) protect against unauthorised access to or use of the Customer Information or associated records which could result in substantial harm or inconvenience to the Partnered Bank, PPSL or the Customers; and

(e) ensure the proper and secure disposal of such data.

14.9. The Entity shall take appropriate technical and organizational measures against:

(a) any unauthorised or unlawful processing or alteration of the Customer Information in the systems of the Merchant or on the Device(s) or in the process of transmitting any details regarding UPI Transaction or BQR Transaction;

(b) any resultant loss or destruction of, or damage to the Device(s) or the Customer Information due to unauthorised processing or alterations; and

(c) unauthorised or accidental access, processing, erasure, transfer, use, modification, or other misuse of the Customer Information and shall ensure that only authorised personnel bound by adequate confidentiality obligations shall have access to the Customer Information and strictly on a 'need to know' basis.

14.10. The Entity shall ensure that the Customer Information is maintained in such a way that it is protected and is not mixed or comingled with any other data including any data of its other customers or clients.

14.11. The Entity shall indemnify PPSL and the Partnered Bank and keep them fully and effectively indemnified on demand, in respect of any type of liability, loss, damage, claim, demand, action, charge, cost (including legal/attorney fees) and expenses incurred by the Partnered Bank or PPSL arising out of or in connection with any wrongful disclosure or misuse of data as a result of breach of this Clause.

14.12. PPSL may carry out comprehensive security risk assessment and audit of the API integrated with the Entity POS and that Entity shall provide support to PPSL to carry out such activity. Entity shall ensure that it adopts latest industry standards issued by PCI DSS, PCI SSF, and in relation to business continuity, data protection and cyber security. PPSL either may appoint third party independent auditor or request the Entity to provide for a security audit certificate from a third party independent auditor at least once every financial year.

14.13. PPSL shall conduct a comprehensive security assessment of the Entity POS or Entity Outlet as the case may be every year and Entity shall provide its co-operation in carrying out such security audit. In the event, PPSL discovers that the Entity does not meet the security requirements prescribed by the PCI DSS, PCI SSF or / and latest ISO standards for business continuity, disaster management, data protection and cyber security, PPSL shall inform the Entity and advice to take corrective action within a period of 15 (fifteen) days from the receipt of such report. The cost of such audit shall be borne by the Entity.

14.14. The Entity shall report any data breach or cyber security incident to Information Security Head at PPSL immediately and in no event later than 4 (four) hours of such incident and support PPSL to carry out route cause analysis and to take preventive action. Such information shall not be shared or communicated with any third party by the Entity without prior written intimation to PPSL. Provided that in case the Entity is obliged to share the information with any regulator or investigative authority such as enforcement directorate or police, it may share such information without the consent of PPSL, however PPSL shall be intimated of such reporting forthwith.

14.15. The Entity acknowledges that such incidents shall be reported to the RBI by PPSL. In case of a security incident, PPSL shall investigate the information technology infrastructure such as application, servers, middleware, endpoint, network, authentication events, databases, web services, cryptographic events and log files shall be collected, investigated and analyzed for proactive identification of security alerts. PPSL also reserves the right to conduct a forensic audit of information technology infrastructure, and may appoint a third party auditor to undertake the same to carry out route cause analysis and to take preventive action. Entity shall provide all the necessary support to PPSL or such duly appointed third party auditor. The fee for audit shall be borne by the Entity.

14.16. Entity shall ensure that the data, including but not limited to any data related to Customer or Transaction, shall not be transferred, processed or stored outside India. Entity shall share with PPSL the details of the site at which it maintains either an in-premise or cloud server, as the case may be, within 15 days from the execution of this Agreement. Entity shall ensure that the data stored on cloud server concerning the Transactions is segregated from the data maintained on the same cloud server of other companies or other transactions, as the case may be. Entity shall ensure that only appropriate personnel has access to the data and that it maintains a proper log of personnel having access to the data.

14.17. The Entity shall ensure that for conducting any analysis or analytics, it shall use or share or transfer anonymized data only. The Entity shall ensure that the confidentiality of the data is maintained during the term of this Agreement.

14.18. The Entity shall ensure that, in the event the data relating to the Transactions is shared or transferred to third party for processing or otherwise, the terms of the Agreement shall have the required safeguards in place to protect data confidentiality and compliance with Applicable Laws.

14.19. The Entity shall ensure that the information collected in relation to the Transactions is authentic. Entity shall be liable for conducting proper know your customer and / or anti-money laundering exercise at the time of onboarding a Customer and processing a Transaction. In case Entity discovers that the whereabouts of a Customer or the Transaction processed through its platform are suspicious, it shall report such behavior of the Customer and the Transaction to PPSL immediately and in any event, no later than 4 (four) hours from discovery, to the Information Security Head at PPSL. Such information shall not be shared or communicated with any third party by the Entity without prior intimation to PPSL. Provided that in case the Entity is obliged to share the information with any regulator or investigative authority such as enforcement directorate or police it may share such information without the consent of PPSL, however PPSL shall be intimated of such reporting forthwith.

14.20. The Entity shall ensure that they have obtained the necessary consents from the Customer for or in respect of sharing the Customer Information and any other information of the Customer to the PPSL and Partnered Bank for the Transaction processing and/or for providing any other services by PPSL and the Partnered Bank.

14.21. Entity shall ensure that it maintains identity and track activities of the personnel who have authorization to access its information technology infrastructure. Entity shall ensure security of the information security infrastructure by regularly conducting audit, check and validates authorization, verify authentication and identification.

14.22. Entity shall ensure that it has proper information security governance and management processes in place in accordance with the provisions of Applicable Laws issued by regulatory authorities.

15. **ENTITY COVENANTS** :

Entity hereby declares, assures, undertakes and covenants as under:

15.1. All information disclosed and documents provided by it in relation to its turnover, ultimate beneficiary owners, authorized signatory, PEPs and such other information provided by it from time to time is accurate and any change in the information provided shall be intimated to PPSL promptly and accurately.

15.2. Entity acknowledges and accords its consent to PPSL to undertake a background check and antecedent check of the Entity. The Entity shall be solely responsible for the accuracy of all information and/or validity of the charges/prices and and/or other information relating to the Products or Customer Order and fulfillment of Customer Order. Further the rates provided /informed to the Customer shall include all applicable taxes or specifically indicate the amount of taxes applicable separately.

15.3. The Entity shall ensure to keep confidential, all information submitted by the Customers on the Entity POS and Device in accordance with the provisions of applicable law.

15.4. The Entity shall not offer any Products, which are illegal or offensive or banned as per the list provided in **Schedule I** and/or are not in compliance with applicable laws, rules and regulations whether central, state or local jurisdiction from where the Customers avail the Products. It shall not submit for processing any illegal transaction(s) or such transaction(s) that violate Applicable Laws or use Paytm Services in any manner or in furtherance of any activity, which constitutes a violation of any law or regulation or which may cause the Facility Providers or PPSL to be subject to investigation, prosecution or legal action. The Entity agrees and understands that PPSL reserves the right to suspend the Settlement of Transaction Amount and/or Paytm Services to the Entity until such time that the Entity does not discontinue selling such banned/illegal Products. In the event the Entity breaches this sub-clause which results in any claim against PPSL by any third party or any losses/damages to PPSL or penalty / liability from any regulatory authority or Facility Provider, Entity shall indemnify and hold harmless PPSL from any such claim/loss/damages/penalty or any other liability, of any nature whatsoever, as may be caused to PPSL in this regard. In addition, PPSL reserves the right to terminate this Agreement without further notice in the case of breach of this Clause.

15.5. Entity understands that the Facility Providers, including acquiring banks, may update their policies, procedures and requirements for facilitating the Transactions. PPSL shall intimate the said requirements to the Entity along with the stipulated timelines within which the said compliance is required to be implemented.

15.6. The Entity acknowledges and agrees that any use of the QR code on the POS, including any display of picture, is facilitated by PPSL solely at the request of Entity and Entity undertakes to bear all the risk arising out of any such use of pictures on QR code. PPSL shall have no responsibility whatsoever in this regard and any claims, issues, damages, losses, or liabilities arising from or connected to the Entity's use of the QR code and display picture and Entity undertakes and acknowledges that it shall be solely liable and shall fully indemnify PPSL from all such claims, demands, actions, costs, and expenses arising out of the use of the QR code and display picture. Except as expressly set forth herein, PPSL hereby specifically disclaims any representations, endorsements, guaranties, or warranties, express or implied, including, but not limited to suitability, or legality of the QR code and display picture.

15.7. Moreover, the Entity must ensure that any image used by the Entity on the Device adheres to the following criteria:

a) It shall not be in violation of any laws, being unlawful, defamatory, libelous, threatening, harassing, indecent, abusive, obscene, lewd and lascivious, or pornographic.
b) It shall not contain derogatory, disrespectful, or offensive content that transgresses the sentiments of any community or individual, particularly religious sensibilities.
c) It shall not infringe upon the intellectual property or proprietary rights of any third party, nor intrude upon privacy or publicity rights, whether knowingly or unknowingly.
d) It shall refrain from promoting racism, xenophobia, hatred, violence, or disorder, and shall not harbor viruses that might instigate security vulnerabilities.
e) It shall not incite, encourage, or endorse criminal activities, violate the rights of any individual, or breach any local, state, national, or international statutes.
f) It shall abstain from infringing upon patents, trademarks, trade secrets, copyrights, or any other form of intellectual or proprietary rights belonging to any individual or entity.
g) It shall not employ the image of any individual without procuring explicit consent or permission from said individual.
h) It shall not, under any circumstances, be adjudged objectionable.

15.8. PPSL may have to share the information in relation to the Entity or relating to the business of the Entity or in relation to the Transactions processed through PPSL or in relation to the Customer with third parties providing data warehouse services or consumer analytic services. PPSL shall ensure that the data warehouse services and consumer analytics service are conducted in accordance with the applicable law. The Entity hereby provides its consent for storing, transmitting and processing information pertaining to its business, transactions and consumers with third party technology service providers and utilize this information so shared in accordance with the provisions of the applicable law.

15.9. The Entity shall, fulfill its obligations in respect of the Customer Order in accordance with the terms and conditions agreed to by and between the Customer and the Entity. In the event of any dispute between the Entity and the Customer whether in relation to any deficient, improper or incomplete fulfilment of the Customer Order/Service provided by the Entity or otherwise, PPSL, Acquiring Bank and Facility Providers shall not be made a party to any litigation, arbitration or other proceeding instituted in respect of such disputes.

15.10. The Entity shall comply and update itself with the guidelines, regulations, procedures and amendments issued by any government, quasi government, statutory authority, Card Associations or any other institution regulating card business which may have an effect on this Agreement or any Card Transactions.

15.11. Entity agrees to take on the risk associated with the Transaction with respect to any losses incurred due to Customer repudiation, revocation etc. In the event of any Customer complaining of any deficiency in Service, Entity shall take such measures as may be required to rectify the same.

15.12. If PPSL requires the proof of fulfillment of Product or Service for any purpose whatsoever, the Entity shall forward the physical and/or electronic proof of fulfillment as required, in such manner as may have been previously agreed, within 15 days from the receipt of communication from PPSL about the same or such shorter period as intimated by PPSL. The Entity warrants that any proof / intimation of dispatch of such proof of fulfillment provided will be authentic, whether electronic or otherwise. Provided that, if PPSL so requires, the physical proof of dispatch of the proof of fulfillment of the Product shall be made available in original to PPSL.

15.13. Entity shall duly intimate PPSL of its change of ownership or legal status or its cessation of business or change in the principal place of business.

15.14. Furnish PPSL/Bank forthwith upon request from time to time, the original copy/copies of proof of Transactions, invoices or other records of Entity's pertaining to any order placed by the Customers. Entity shall retain all such records for a period of 10 years from the relevant date of the order placed. PPSL and/or Bank and/or the Reserve Bank of India shall be entitled to inspect the records and other data including those relating to the orders placed at any time with Entity's whatsoever and with prior written notice of at least 3 days or as specified by the regulator only in case of requests raised by RBI. This clause shall survive termination of this Agreement.

15.15. Entity shall be held liable for any Settlement made to a wrong/incorrect bank account, upon the Settlement being made pursuant to any wrong bank account details getting linked to Paytm Platform solely due to incorrect details provided during onboarding or any further documentation relating to bank account details provided by the Entity. PPSL shall not be responsible for any Settlement made to the wrong/incorrect bank account, made to a person who is not the Entity, or any other scenario which are not in the control of PPSL.

15.16. Entity hereby agrees and undertakes the following:

(i) Entity shall abide by, comply with and be bound by all the rules and procedures as applicable and in existence or in force from time to time and any modification through any circular, order, direction, notice, instruction issued and in force from time to time by NPCI or Regulator.

(ii) PPSL and/or NPCI/RBI shall be entitled to conduct audits on the Entity whether by its internal or external auditors or by agents appointed to act on its behalf and Entity shall comply with such audit requirements as may be framed for the purpose of such audit.

(iii) Entity shall strictly adhere to the provisions of UPI procedural guidelines as issues by NPCI (https://www.npci.org.in/procedural-guidelines/upi-procedural-guidelines), RBI guidelines and any other relevant guidelines as maybe applicable from time to time.

15.17. Entity should only register and conduct Transactions through one Entity account assigned by PPSL in the name of the Entity. Under no circumstance shall Entity register multiple accounts to conduct Transactions for the same business.

15.18. Entity shall not collude with any other third party including but not limited to his/her relatives, friends, family members to misuse the Entity account for making bogus or fraudulent transactions . Entity will further ensure that it shall not use the amount facilitated through Paytm Services for the purpose of money laundering or any other purpose in violation of Applicable Law.

15.19. Under no circumstance shall Entity allow Customers to make transactions on the Device or use Paytm Platform for the purpose of providing cash (except where allowed) or any other benefit to the Customer. Entity should ensure that Transactions should be from genuine customers and as per the price of the product/services in the line of business.

15.20. Entity shall only allow transactions through Paytm Entity Account for the line of business for which the Entity is registered and shall not accept payments for goods or services availed from other Entity's or from any other business of the Entity. The Entity shall permit PPSL to monitor transactions subsequently undertaken by the Entity to ensure that these transactions are in line with the business for which the Entity is registered.

15.21. Entity represents, warrants and covenants that Entity shall adhere to the provisions of law applicable to the Service or Good sold by the Entity to the Customers as well as the Transactions contemplated in terms of this Agreement including guidelines issued by RBI relating to chargebacks, refunds, settlement etc. or any other regulator and rules, regulations, guidelines and statutes pertaining to or issued by intermediaries, payment aggregators and card associations from time to time.

15.22. Entity agrees to put up such notices, disclaimers or warranties as may be required by PPSL/Facility Providers and the Entity shall comply with such request forthwith.

15.23. Entity represents, warrants and covenants that the Entity is not a related party or group entity of PPSL or its group companies and none of the director of PPSL or their relative is a director / member in the Entity. The purpose and effect of this Agreement is not to benefit a related party of PPSL or its affiliates or its group companies.

15.24. It is hereby agreed and acknowledged by the Parties that in the event the Merchant Identification Number ("MID") of the Entity is inactive or non-transacting at the time of recovery of dues or balance of Merchant account registered on Paytm Platform is nil/zero, then PPSL shall have the right to auto- debit the Entity's UPI/E-NACH linked bank account on Paytm's Platform, with such outstanding recovery amount. Pre-debit notification of 24 hours prior to deduction of outstanding recovery amount shall be sent by PPSL to the Entity. The Entity undertakes and agrees to comply with the UPI/E-NACH mandate at the time of honoring.

15.25. Entity authorizes PPSL executive or any agency/third party appointed by PPSL, to collect its KYC documents, including but not limited to PAN card, Aadhaar Card, Driving License, Passport, Voter ID Card, Nrega Card and other business documents, such as GSTIN/Gumasta Licence, Udyog Aadhar, Rent Agreement and Utility bill, and any other document as required from compliance perspective. The Entity agrees that these details may be shared by Entity to third Party entities for the purposes of providing service under this Agreement which includes installation of the Device, repair maintenance of the Device / recovery of Device and communication with Entity through phone calls with respect to the services under this Agreement.

15.26. Entity authorizes PPSL to contact and communicate with Entity for any Paytm Service or offer(s). PPSL may use third party service providers to send alerts or communicate with Entity or its Customer. Entity authorize PPSL and its affiliates to override the DND settings to reach out to you over calls, SMS, emails and any other mode of communication.

15.27. To ensure network connectivity for smooth service(s) of Device, PPSL has procured SIM cards from telecom service providers and assembled the same in Device. In this regard Entity undertakes and agrees to utilize the said Device and provided SIM cards services only for the limited purpose stated in the Agreement and in compliance with all applicable laws, rules and regulations.

15.28. The Entity acknowledges that the ownership of the SIM Card and the Device remains the property of PPSL. Entity agrees that the Entity details shall be shared by PPSL with the telecom service providers and other Regulators / Authorities for the purposes of availing such services.

15.29. The Entity shall under no circumstance remove the SIM Card from the Device.

15.30. The Entity must inform PPSL immediately of any loss of or damage to any SIM Card and/or Device or upon becoming aware that any party is making improper use of same. The Entity will be responsible for any charges incurred as a result of any unauthorised use of the SIM Card/Device until such time as it has notified PPSL.In such an event, Entity understands that PPSL shall have to inform about the same to the telecom service providers and other Regulators / Authorities / Law Enforcement Agencies.

15.31. Entity further agrees and undertakes to be responsible/liable for any costs/damages/losses incurred by PPSL due to Entity's unauthorized/illegal use of device or the SIM card fitted in such device, and/or any physical damage caused to the Device. In event of breach of this clause by Entity, PPSL shall have the right to terminate the agreement and take such appropriate action as it may deem fit, including but not limited to blacklisting and reporting of Entity to appropriate government authorities and immediate disabling or suspension of the SIM Card.

15.32. Entity agrees that the SIM card/data shall not be used to make any foul or profane expressions, impersonate another person with fraudulent or malicious intent, for any improper, immoral, anti-national, unlawful, or abusive purpose or for sending obscene, indecent, threatening, harassing, unsolicited messages, to call another person so frequently or at such times of the day or any other manner so as to annoy, abuse, threaten or harass to any other person whomsoever.

15.33. The Entity shall indemnify and hold harmless PPSL from all suits, costs, damages or claims of any kind arising out of any act or omission or misuse of the SIM card by the Entity or any other person with or without the consent of the Entity or suffered as a result of any use of the SIM Card which is not in accordance with these terms and/or the provisions of any Telecom Service providers, or other laws, which are applicable to the SIM Card.

15.34. Any breach of the abovementioned clauses will be construed by PPSL as fraudulent acts by the Entity entitling PPSL to immediately suspend or terminate the Paytm Services forthwith, with or without notice to the Entity.

16. CUSTOMER SUPPORT

16.1. Entity shall be solely liable for handling, sorting, redressing and resolving any and all issues, claims and disputes received from the Customers in relation to the Service/Product, including but not limited to their delivery, defects, Chargebacks and refunds. The Entity understands and acknowledges that in no event shall PPSL or Facility Providers be liable, in any manner whatsoever, for handling, sorting, redressing and/or resolving such dispute, issues, claims, complaints raised by the Customer.

16.2. Entity shall provide necessary customer support to Customers. Such support shall include appropriate notice to Customers of (i) a means of contacting Entity in the event the purchaser has questions regarding the nature or quality of the Products/Services that Entity offers for sale and (ii) procedures for resolving disputes, sorting / handling complaints, refund / failed transactions, return policy, customer grievance redressal (including turnaround time for resolving queries), dispute resolution mechanism, reconciliation, etc. If PPSL or any of the Facility Providers or any of the Participating Banks determines in good faith that Entity's failure to comply with this paragraph is causing an unacceptable burden on its customer support facilities, PPSL may suspend or terminate this Agreement as per provisions provided in this Agreement. In the event that any complaint is raised by the Customers or Entity with PPSL arising out of or relating to deficiency in service by PPSL, the same will be resolved in accordance with the Grievance Policy of PPSL. The current policy, as amended from time to time, is available at https://www.paytmpayments.com/policies.

17. INSPECTION AND RIGHT TO AUDIT

17.1 The Entity shall, keep complete and accurate records in connection with the Services. All the said records shall be kept on file by the Entity for a period of 10 (ten) years or such longer period as required under Applicable Laws from the date the record is made, and in any event, shall not be excised without first having duly and adequately and timely informed PPSL in writing and also providing PPSL with the option of having such records transferred into the custody of PPSL.

17.2 Entity shall, during all official working hours, allow PPSL, its management, its auditors and/or regulators/RBI, right to inspect, examine and audit the Entity's operations, including but not limited to its security practices and control processes and all documentary records regarding the Transactions carried out under the terms of this Agreement.

17.3 On receipt of a reasonable notice from PPSL /regulator/authority, the Entity shall provide access to and make available to any of PPSL’s officers / employees/ management/ internal or external auditors/ regulators of PPSL, the necessary records for inspection / examination / audit and co-operate to the fullest extent in order to provide clarification on any activities and assure a prompt and accurate audit according to the scope of the Agreement. The Entity shall also co-operate in good faith with PPSL to cure any audit practices which are found to be deficient as a result of any such audit, within a reasonable time after receipt of PPSL’s report. Cost of such audits or reviews will be borne by Entity.

17.4 Entity recognizes the right of regulators and PPSL including but not limited to NPCI /RBI’s right to inspect / cause an inspection of information security practices implemented under the terms of the Agreement by one or more of its officers or employees or other persons under applicable jurisdiction.

17.5 PPSL's rights under this Clause shall survive expiration or termination of this Agreement for the period required under Applicable Laws.

18. CONFIDENTIAL INFORMATION

18.1. Either Party hereby undertakes that it and its Affiliates and employees or representatives thereof shall not, at any point of time divulge or communicate in any manner whatsoever, to any third party or any of its customers or use for its own purpose any information about the business and affairs of other Party or any of its clients which may come to the knowledge of the other Party pursuant to this Agreement. For the purpose of this clause, “ **Confidential Information** ” includes (without limitation) subscriber lists, customer information, technology, plans, financial, schemes, operating manuals, data generated by either Party, documents, data papers and statements and trade secret of either Party relating to its business practices and considered to be confidential and proprietary information, and all information received pursuant to on-line data connectivity (whether oral, written or electronic form, or on magnetic or other media) of either Party together with all documentation relating to this Agreement. Entity acknowledges the highly sensitive nature of information of on-line data connectivity and agrees to make this available to its employees, directors and authorized representatives only on need to know basis and are bound by similar confidentiality obligations.

18.2. Neither Party shall be liable for the disclosure or use of such data or proprietary information which: a) is, or becomes, publicly known other than by breach of this Agreement; b) is obtained by the receiving Party from a third Party without restriction; c) is previously known by the receiving

Party; d) is, at any time, developed by the receiving Party completely independently of any disclosures hereunder; or e)is required to be released by law (including the applicable security regulations), or under an order from the Court or any law enforcement agencies. The obligations and restrictions of confidentiality shall be effective during the Agreement and for a period of three (3) years from the date of last disclosure following the termination or expiration of this Agreement.

18.3. Disclosure Of Credit Card Information – Entity shall not store any cardholder information or card related data. Entity, at all times, shall protect and keep confidential all information related to Credit Card/Debit Card of the Customers ("Sensitive Information"). Parties may disclose the Sensitive Information, if it needs to be disclosed pursuant to any order/direction of a Court and/or regulatory authority of competent jurisdiction, to the extent specified in the order/direction of such Court and /or regulatory authority. Subject to this clause, the Entity, at all times, shall protect and keep confidential all Sensitive Information. Entity further agrees and undertakes to be fully responsible for the security of the data on Entity's POS, Paytm Platform or Device or otherwise in Entity possession or that Entity is able to get access to under this Agreement. Entity further undertakes to use only PCI compliant service providers in connection with the storage or transmission and processing of the data relating to the Transactions. Entity agrees to comply with the all applicable laws and rules in connection with the Entity's collection, security and dissemination of any personal, financial, Card or Transaction information (defined as Payment Data) on the Entity's POS. Entity agrees and undertakes at all times to be compliant with the Payment Card Industry Data Security Standards (PCI-DSS) and the Payment Card Industry Security Standards Council (PCI SSC) as applicable and shall take necessary steps to implement the same. If PPSL believes it is necessary based on Entity's implementation and request it of Entity, Entity will promptly provide upon PPSL's request the documentation evidencing Entity's compliance with PCI-DSS and/or PCI-SSF. Entity agrees and understands that a security audit of Entity may be carried out by PPSL/RBI /any other regulatory authority to ensure compliance, as and when required. Further, PPSL shall also obtain periodic security assessment reports from the Entity at any time based on its internal risk assessment and/or at the time of renewal of contracts.

19. ADMINISTRATION

The Entity expresses, recognizes and accepts that PPSL shall, without prejudice to its right to perform such activities itself or through its officers or employees, be entitled and shall have full power and authority to appoint one or more third parties as it may select and to delegate to such third party all or any of its functions, rights and powers under this Agreement relating to administration of the Device including the right and authority to install ,collect and receive on behalf of PPSL from the Entity the Device or any other amounts due from the Entity under this Agreement and to perform and execute all lawful acts, deeds, matters and things connected therewith and incidental thereto including sending notices, contacting the Entity at the outlet, office or residence. For the aforesaid purpose, PPSL shall be entitled to disclose to such third parties all necessary or relevant information pertaining to the Entity and the Entity hereby consents to such disclosure by PPSL.

20. DISCLAIMER OF REPRESENTATIONS AND WARRANTIES:

20.1. Except as expressly set forth herein, PPSL hereby specifically disclaims any representations, endorsements, guaranties, or warranties, express or implied, including, but not limited to, the implied warranty of saleability or fitness for a particular purpose and non-infringement of intellectual property rights.

20.2. Entity agrees and acknowledges that PPSL is providing a technology solution which by its nature is not error free. PPSL does not warrants that use of the Paytm Services will be uninterrupted or error free. Entity understand and acknowledges that there may be downtime, network congestion, outages, Scheduled maintenance, or such other events beyond the reasonable control PPSL and PPSL shall not be responsible for the same. PPSL shall adopt such technical and non-technical security measures that it considers are appropriate to render the services under this Agreement, however PPSL does not guarantee that such security measures cannot be subverted to gain unauthorized access.

20.3. PPSL's sole obligation and Entity's sole and exclusive remedy in the event of interruption to the Paytm Services or loss of use and/or access to PPSL's services, the Facility Providers facilities and Payment Mechanism and services, shall be to use all reasonable endeavours to restore the Services and/or access to the Payment Mechanism as soon as reasonably possible.

20.4. Without prejudice to any other provision of this Agreement, PPSL, the Facility Providers Participating Banks do not warrant that: -

a) PPSL's services, the Facility Providers facilities Payment Mechanism will be provided uninterrupted or free from errors or that any identified defect will be corrected; or

b) is free from any virus or other malicious, destructive or corrupting code, program or macro.

20.5. For the avoidance of doubt, in no event shall PPSL, the Facility Providers Participating Banks be liable to Entity or any other third party for any of the following:
a) amounts due from Customer in connection with any service obtained by the Customer at Entity's Site;
b) any applicable taxes including but not limited to GST and other government levies.

20.6. Parties agree that PPSL shall not be liable in case there is any non-conversion of transaction amount /cancellation of EMI/ Brand EMI services, tenure, scheme provided to the Customer by any bank /Entity on case to case basis.

21. INDEMNITY

21.1. Entity hereby undertakes and agrees to indemnify at all times and hold harmless PPSL, Facility Providers, Participating Banks and NPCI and their respective director, officers and employees from and against all actions, proceedings, claims, liabilities (including statutory liability), penalties, demands and costs, awards, damages, losses and/or expenses however arising as a result of:

a) Any breach of applicable laws, GST, rules and regulations.
b) any breach or non-performance by the Entity of any of the provisions of this Agreement and/or any Schedules, representation and warranties, breach of confidentiality, Intellectual property rights, inaccuracy of Customer Bill, Chargeback and refunds, any fines, penalties or interest imposed directly or indirectly on PPSL on account of Entity under this Agreement and/or any Schedules;
c) any claim or proceeding brought by Entity's Vendors/Suppliers, the Customer or any other person against PPSL, in respect of any Goods/Services offered by Entity; or
d) any act or neglect or default or fraud, willful misconduct, gross negligence of Entity's and / or its agents, employees, licensees or customers; or
e) any claim by any other party against PPSL, arising from sub-clauses above.

21.1. Entity shall also fully indemnify and hold harmless PPSL, the Facility Providers and the Participating Banks against any loss, costs, expenses, demands or liability, whether direct or indirect, arising out of a claim by a third party that Entity's Services infringes any intellectual or industrial property rights of that third party.

21.2. In the event of PPSL, the Facility Providers and the Participating Banks being entitled to be indemnified pursuant to the provisions of this Agreement, PPSL shall be entitled to accordingly and to such extent debit Entity's Account with PPSL.

22. TERM AND TERMINATION

22.1. This Agreement shall become effective on the Effective Date and shall remain in full force unless terminated by either Party.

22.2. Notwithstanding anything contained herein, in the event either Party breaching any of the terms of this Agreement and fails to cure the breach within thirty (30) days of written notice, then the other Party shall have the right to terminate this Agreement forthwith.

22.3. Notwithstanding anything contained herein, if the Entity uses the Paytm Services and facilities in any manner or in furtherance of any activity, which constitutes a violation of any law or regulation (including GST provisions) or which may amount to misuse of the Paytm Services or if, in the sole opinion of PPSL, the Entity is found to be abusing the services for gaining itself or extending undue benefits to its Customers or any third party or exhibiting a non-genuine merchant behavior as per PPSL and/or if it appears to PPSL that Entity is allowing misuse/abuse of Paytm Services by its Customers or its Customers are exhibiting a non – genuine behaviour, Entity being a partnership and the partnership ends or Entity being a sole proprietor die (in which case notice will be sent to your personal representative), Entity processes a Card transaction on its own Card, without the sale of any goods or services, then PPSL will have the absolute right to terminate this Agreement forthwith without giving any prior written notice and further exercise all its right against the Entity to recover the losses/damages caused to PPSL due to such acts as well as to initiate proper legal action as it may deem fit.

22.4. PPSL may terminate this Agreement immediately (without any prior notice) if:

(i) it believes that fraudulent Card Transactions, suspicious transactions, misuse of Device or the SIM card are occurring/ have occurred utilizing Device at the Entity POS/Outlet;
(ii) Entity appears to be on any banned list of Card Associations or Facility Providers;
(iii) due to deficiency in service by Entity any dispute amongst Entity and Customer arises and remains unresolved for a period of 07 days on notice to Entity;
(iv) Entity damages or potentially exposes PPSL to risk of damage regarding its brand/trade name /trademark or any other intellectual property rights or introduces any software virus or program in the Device or software(s) designed to disrupt, interrupt, disable, damage, destroy or limit the functionality of the Device/software(s) or uses Device in breach of this Agreement;
(v) the same is required by any Card Association or Facility Provider

22.5. Either Party may at its discretion terminate this Agreement if the non-terminating Party is subject to any action or proceedings, whether administrative or judicial in respect of insolvency, winding up, dissolution or bankruptcy.

22.6. PPSL may terminate the Agreement any time without assigning any reason by giving the Entity a prior written notice of 30 days.

22.7. Subject to lock-in period, if any, Entity may terminate this Agreement or one or more Services at any time by giving a 90-day prior written notice.

22.8. On the expiry or early termination of this Agreement all rights and obligations of the Parties shall automatically terminate except obligations of the Parties relating to confidentiality, indemnity and intellectual property rights as contained in this Agreement, which shall survive the expiration or termination of the Agreement. Further, all other provisions of this Agreement which by their nature are intended to survive after the termination or expiry of this Agreement will survive after the termination or expiry of this Agreement.

22.9. In case of termination or suspension of PPSL Services, PPSL shall have the right to withhold Settlement Amounts payable to the Entity in terms of this Agreement pending enquiry into any fraud or suspicious activities and / or for the settlement or resolution of any Chargeback. These amounts may be withheld for a period of 180 days from the date of suspension / termination as the case may be or such longer period as may be then prevailing in respect of the time-period allowed to Customers for initiating a Chargeback or refunds and resolution of such disputes under the guidelines issued by Card Association or the Reserve Bank of India.

22.10. This Agreement and the particulars herein are subject to applicable law and regulations and would be modified / discontinued based on the prevailing law / regulation at any point of time and neither Party shall be under any liability or obligation or continue implementation of this Agreement till such time the terms are modified by the Parties as per the prevailing/ amended law at that point of time. In the event, that the Agreement cannot be continued without total compliance of the prevailing law at any point of time, this Agreement shall be deemed to be terminated forthwith from the date when the amended law restricting / prohibiting the Agreement comes into force.

22.11. Upon termination or expiry of this Agreement, Entity shall cease to accept the payment for Customer's Orders through Paytm Platform with immediate effect. Further, Entity shall remove all the advertising and promotional materials from its Outlet. Further, PPSL shall also cease to communicate about the Transaction to the Customers through its own website, e-mails and other modes of communication with immediate effect.

23. **FORCE MAJEURE:**

Notwithstanding the provisions of this Agreement, neither Party shall be eligible for liquidated damages or termination for default against the non-performing Party, if and to the extent that the delay in performance or other failure to perform its obligations under the contract is the result of an event of Force Majeure. If a Force Majeure situation arises, the affected Party shall promptly notify the other Party in writing of such conditions and the cause thereof. Either Party may terminate this contract, by giving a written notice of 15 days to the affected Party, if as a result of Force Majeure, the affected Party being unable to perform a material portion of the services for a period of more than 30 days.

24. **LIMITATION OF LIABILITY**

24.1. Except for any liability which cannot by law be excluded or limited, neither Party shall be liable for indirect, incidental, special, punitive or consequential damages, including without limitation, damages for loss of profits, business interruption, Interruption or stoppage to the Customer's access to and/or use of Device and services and the payment and delivery mechanism, loss of goodwill or unauthorized access to information incurred by the other Party arising out of, or relating to the use by the Entity of Paytm Services and, whether framed as a breach of warranty, in tort, contract, or otherwise even if a Party has been advised of the possibility of such damages.

24.2. Notwithstanding anything stated under this Agreement, the aggregate liability of PPSL to the Entity or otherwise from any and all causes whatsoever shall not in any and all events in the aggregate exceed the sum equivalent to the preceding one month's aggregate Paytm Fee earned by PPSL under this Agreement, from the date of occurrence of such liability.

24.3. In no event shall PPSL be liable to the Customers or any third party.

25. **BRIBES, GIFTS, ENTERTAINMENT, FAVORS AND PAYMENTS**

25.1. The Parties herein confirm that they shall not offer any gifts, payments, services, or other favors to the employees, personnel of the other Party where these would, or might appear to improperly influence the employee in performing his or her duties for such Party. Consistent with each Party's requirement that all business conducted adheres to applicable laws and regulations, the use of bribes, secret compensation or kickbacks is strictly prohibited.

25.2. Entity hereby agrees and confirms that they shall comply with PPSL's Anti-Bribery and Corruption Policy in this regard available on the link https://www.paytmpayments.com/policies , and that Entity, its subcontractors and agents shall have required internal policies to ensure such compliances. Entity undertake that they shall procure compliance with such policies and procedures by its officers, directors, employees and sub-contractors and that shall procure similar undertaking from their sub-contractors as involved in the performance of this Agreement.

26. GENERAL PROVISIONS

26.1. Entire Agreement - This Agreement constitutes the entire Agreement between PPSL and Entity pertaining to the subject matter hereof and supersedes in their entirety all written or oral agreements between the Parties. Further, this Agreement supersedes all prior or contemporaneous negotiations, commitments, agreements (written or oral), letters, forms, declarations and others documents that may be executed by PPSL for the purposes of being on boarded as a Service Provider of the Entity. All such other negotiations, commitments, agreements and writings will have no further force or effect, and the Parties will have no further rights or obligations thereunder.

26.2. Relationship between Parties - The Parties to this Agreement are independent contractors and nothing in this Agreement shall make them joint ventures, partners, employees, agents or other representatives of the other Party hereto. Neither Party shall make any representation that suggests otherwise. Neither Party shall at any time in any manner describe itself as an agent or representative of the other Party.

26.3. Conflict of Interest - Entity shall not have any employee/directors/officers of PPSL serving as its officer, director, employee, agent, or consultant nor shall Entity have any direct relationship with the employees / directors / officers of PPSL which has the potential to put PPSL in a disadvantageous position vis a vis the Entity. If such a relationship exists, which has not been disclosed to PPSL, Entity shall report such relationship to PPSL immediately.

26.4. Variations of Agreement – PPSL reserves the right at all times to vary or amend these terms and conditions or to introduce new terms and conditions. Any such variations or amendment or introduction will become effective and binding on the Entity upon notification by speed post /authorised courier/email duly signed by the authorised signatory of PPSL or a platform wide notification by PPSL and if the Entity is unwilling to accept such variation or amendment or introduction, it shall notify PPSL signatory in writing by speed post /authorised courier/email addressed to the signatory within five (05) days from the notification from PPSL, for resolution. The PPSL communication shall apply unless otherwise agreed in writing by PPSL through its authorised signatory.

26.5. Assignment – PPSL shall always retain the right to assign its obligations under this Agreement for such remaining period of the Agreement, to any of its chosen subsidiaries, Affiliates, associates. Entity shall not assign this Agreement or any of its obligations under this Agreement without a prior written consent of PPSL.

26.6. Jurisdiction - This Agreement shall be interpreted, construed and enforced in all respects in accordance with the laws of India without regard to any principles of conflicts of laws thereof. Both the Parties agree that the competent courts at New Delhi shall have the exclusive jurisdiction.

26.7. Headings and Subheadings - The headings and sub headings in this Agreement are for convenience only and do not affect the meaning of the relative section / clause.

26.8. Notices: Any notice, direction or instruction given under this Agreement shall be in writing and delivered by hand delivery, registered post acknowledgement due and any reputed courier to the abovementioned addresses of the Parties or to such other address as a Party notifies to other in writing, from time to time. Notice will be deemed given (i) In the case of hand delivery on delivery; (ii) In case of registered post acknowledgement due in 2 calendar days after posting; (iii) In case of Courier in 3 calendar days after posting. Provided that in case of the date of receipt not being a business day, notice shall be deemed to have been received by the receiving Party on the next business day.

26.9. Related Party - The Entity further undertakes that it is not a related party or group entity of Paytm Payments Services Limited or its group companies and none of the directors of Paytm Payments Services Limited or their relative is a director / member in the Entity. The purpose and effect of this Agreement is not to benefit a related party of Paytm Payments Services Limited or its group companies.

26.10. Counterparts: This Agreement may be executed in any number of counterparts, each of which, when executed and delivered, is an original, but all the counterparts taken together shall constitute one document.

26.11. E-Agreement - Entity hereby agrees and undertakes that Entity is legally entitled and eligible to enter into this e-Agreement and further agrees and undertakes to be bound by and abide by this Agreement and the person accepting this Agreement by and on behalf of the Entity is authorized representative of the Entity and is entitled and is legally authorized to bind the Entity on whose behalf this Agreement is being accepted.

SCHEDULE I

PROHIBITED ITEMS

Adult goods and services which includes pornography and other sexually suggestive materials (including literature, imagery and other media); escort or prostitution services;
Alcohol which includes Alcohol or alcoholic beverages such as beer, liquor, wine or champagne, to the extent its prohibited in the concerned state/UT, or license is not available where required;
Body parts which includes organs or other body parts;
Bulk marketing tools which includes email lists, software, or other products enabling unsolicited email messages (Spam);
Cable descramblers and black boxes which includes devices intended to obtain cable and satellite signals for free;
Child pornography which includes pornographic materials involving minors;
Copyright unlocking devices which includes Mod chips or other devices designed to circumvent copyright protection;
Unauthorized copies of copyrighted media, which includes unauthorized copies of books, music, movies, and other licensed or protected materials;
Unauthorized copies of copyrighted software, which includes unauthorized copies of software, video games and other licensed or protected materials, including OEM or bundled software;
Counterfeit and unauthorized goods which includes replicas or imitations of designer goods; items without a celebrity endorsement that would normally require such an association; fake autographs, counterfeit stamps, and other potentially unauthorized goods;
Drugs and drug paraphernalia which includes illegal drugs and drug accessories, including herbal drugs like salvia and magic mushrooms;
Drug test circumvention aids which includes drug cleansing shakes, urine test additives, and related items;
Endangered species, which includes plants, animals or other organisms (including product derivatives) in danger of extinction;
Gaming/gambling which includes lottery tickets, sports bets, memberships/ enrolment in online gambling sites, and related content;
Government IDs or documents which includes fake IDs, passports, diplomas, and noble titles;
Hacking and cracking materials which includes manuals, how-to guides, information, or equipment enabling illegal access to software, servers, websites, or other protected property;
Illegal goods, which includes materials, products, or information promoting illegal goods or enabling illegal acts; Miracle cures which includes unsubstantiated cures, remedies or other items marketed as quick health fixes;
Offensive goods, which includes literature, products or other materials that: a) defame or slander any person or groups of people based on race, ethnicity, national origin, religion, sex, or other factors b) encourage or incite violent acts c) promote intolerance or hatred; d) Offensive goods, crime that includes crime scene photos or items, such as personal belongings, associated with criminals;
Prescription drugs or herbal drugs or any kind of online pharmacies which includes drugs or other products requiring a prescription by a licensed medical practitioner;
Pyrotechnic devices and hazardous materials which includes fireworks and related goods; toxic, flammable, and radioactive materials and substances;
Regulated goods which includes air bags; batteries containing mercury; Freon or similar substances /refrigerants; chemical/industrial solvents; government uniforms; car titles; license plates; police badges and law enforcement equipment; lock-picking devices; pesticides; postage meters; recalled items; slot machines; surveillance equipment; goods regulated by government or other agency specifications;
Securities, which includes stocks, bonds, or related financial products;
Tobacco and cigarettes which includes cigarettes, cigars, chewing tobacco, and related products;
Traffic devices, which includes radar detectors/hammers, license plate covers, traffic signal changers, and related products;

Weapons which includes firearms, ammunition, knives, brass knuckles, gun parts, and other armaments;
Wholesale currency, which includes discounted currencies or currency, exchanges;
Live animals;
Multi-Level marketing collection fees;
Matrix sites or sites using a matrix scheme approach;
Work-at-home information;
Drop-shipped merchandise;
Collecting and effecting / remitting payments directly /indirectly outside India in any form towards overseas foreign exchange trading through electronic/internet trading portals;
Any product or service, which is not in compliance with all applicable laws and regulations whether federal, state, local or international including the all laws of India;
Any loans repayments, Credit Card and EMI repayments;
Any charges repayments with Banks, NBFCs;
Any investments including Stock trading, Gold, Mutual Funds;
Bank transfers etc.;
Any Deals and coupons, Discounts vouchers payments etc.;
Any Gaming, Astrology category merchants;
Any Gambling category merchants;
Jewellery, Weapons, Chit Funds.

SCHEDULE II

A. **Manner of payment using QR Codes**

1. QR codes in printed or digital format or otherwise will act as a signature for Entity's information like MID code, Entity Outlet location, industry, type, transaction amount, etc.
2. QR codes shall be automatically generated and provided by PPSL through the Entity Panel (*defined below*) to Entity and will be displayed/presented to the Customer who opts to pay through the Paytm Platform.
3. Customer opts for payment through any payment app and announces the same to the store manager/ person presenting the bill/ person taking the Order.
4. Customer is provided static/ dynamic QR code by the Entity (which can be physical or electronic) which he scans using his any payment application on his mobile phone. For avoidance of any doubt, QR codes shall be provided by PPSL through the Entity Panel. "Entity Panel" is an interface provided to Entity by PPSL wherein real time information related to transactions, refunds, settlements, etc. can be accessed by the Entity. The said Entity Panel can be used to generate QR codes.
5. Customer is directed to Entity's payment screen on his payment app for authorization of payment
6. Customer confirms the payment and Entity receives notification on Entity dashboard panel/ KIOSK panel/ Email/ SMS
7. Once the confirmation is given by Customer, it shall be deemed that PPSL is authorized to collect the payment through the Paytm Platform. The bill amount so collected by PPSL will be transferred in Entity's bank account in accordance with the Agreement.

B. **Manner of payment using OTP**

1. Customer opts for payment through the Paytm app and announces the same to the store manager/ person presenting the bill/ person taking the Order.
2. Customer provides his/ her mobile no. for payment through the Paytm app which is then entered into the digital panel of the Entity at the POS, (for avoidance of doubt digital Panel is the Digital Panel of the Entity used for generating bills and receiving payments at Entity's/Outlet)for verification and authorization and generation of One Time Password ("OTP") through Paytm.
3. Once the mobile no. same is authorized by PPSL, it shall generate a One Time Password ("OTP") to the Customer's registered mobile number which shall then be provided by the Customer for entering the same into the system at the Outlet.
4. Once the OTP is entered into the system and the same is redeemed, it shall be deemed that PPSL has authorized the said Customer to make the payment through the Paytm Platform. PPSL shall transfer the bill amount in Entity's bank account so collected in accordance with the Agreement.

C. **Manner of payment using Dynamic QR Code if applicable**

1. Customer opts for payment through the Paytm app and announces the same to the person presenting the bill/ person taking the Order.

2. A QR code is generated in real time using APIs provided by PPSL and is displayed on Invoice / bill or the digital panel of POS. This QR will act as a signature for Entity's information like MID code, Entity's Outlet location, industry, type, transaction amount, bill amount etc.
3. Customer scans the QR code from Paytm application on his mobile no. and is directed to Entity payment screen for authorization of payment
4. Customer confirms the payment and Entity receives notification on Entity dashboard panel/ Kiosk panel/ Email/ SMS/ Call back Server Once the confirmation is given by Customer, it shall be deemed that PPSL is authorized to collect the payment through the Paytm Platform. The bill amount so collected by PPSL will be transferred in Entity's bank account in accordance with the Agreement.

D. **Manner of payment using TOTP- (TOTP)**

1. Customer opts for payment through the Paytm mode and announces the same to the store manager/ person presenting the bill/ person taking the Customer Order.
2. Customer scans discovery QR code using his Paytm app. The customer will be directed to the show code page of the Paytm App. Customer will share Mobile no. & 6 digit TOTP displayed on the page - which is then entered into POS/ digital panel, (for avoidance of doubt digital panel is the digital panel of ENTITY used for generating bills and receiving payments at ENTITY's Outlet) for verification and authorization
3. Once the TOTP & mobile number are entered into the system and the same is redeemed, it shall be deemed that PPSL has authorized the said Customer to make the payment through the Paytm payment platform. PPSL shall transfer the bill amount in ENTITY's bank account so collected in accordance with the Agreement.

E. **Other Payment options (for users to pay upon scanning their QR codes e.g. UPI, CC, DC, NB, IMPS & EMI):**

1. Customer scans Paytm' QR code on an offline Entity using his Paytm app.
2. Thereafter, app displays the screen where the Customer would enter the amount or any applicable promo code, etc.
3. Default payment method for a Customer to pay would be through Paytm app and it will be shown in the same screen where the Customer is entering the amount.
4. If the Customer wishes, he can change his mode of payment to any other payments instrument to pay for the goods/services.
5. In case Customer opts to change the mode of payment, Customer's saved details will be visible on the native screen (UPI, CC, DC, NB, IMPS & EMI) with an option to choose any other payment instrument apart from saved details.
6. Customer can either pay the differential/partial amount form his saved details (native flow) or choose to pay the amount from some other payment instrument and will be directed to the cashier page (native/web view)
7. A Native payment page would be opened with the configured payment options e.g. Saved details, UPI, CC, DC, NB, EMI & IMPS
8. Post completion of payment, Customer will show the appropriate payment confirmation to the Entity.
9. All the payments done by the Customer will be required to be shown in the payment passbook to the Customer.

F. **Manner of Payment using Link**

1. Entity to send QR code / Link to make payment to customer.
2. Customer clicks on Link or Scan QR code from Paytm App to make payment. Customer can make payment using Account Balance, and UPI.
3. Entity will get payment received notification via SMS/Email. Payment details can be seen on Paytm for business app Passbook, and UMP Dashboard
4. Payout will be done in Entity's bank account.

G. **Manner of Payment using Tap n Pay**

1. Entity will have to select the correct "Tap and Pay" Device in their Paytm for business application for receiving payment.
2. Entity then will enter amount to be collected form customer in their Paytm for business app and send "Collect" instruction to NFC module.
3. Then, NFC module enabled in the Device gets activated andshows the value of amount to be paid by customerat the display screen on device for customer information/verification.
4. Then, the Customer will tap their Credit/Debit card over the NFC module attached on the Device and the payment will be processed as per the guidelines issued by RBI & NPCI in this regard. .

5. Entity will get payment received notification via SMS/Email. Payment details can be seen on Paytm for business app Passbook, and UMP Dashboard
6. Payout will be done in Entity's bank account.

SCHEDULE III
EDC MACHINE/DEVICE SERVICES

1. **PAYMENTS AND CHARGES**

   i. Entity shall pay all charges related to lease of the EDC Machine/Device including but not limited to the charges as mentioned below:

      a) One time installation cost
      b) Rental cost of Device
      c) SIM cost
      d) Maintenance charges
      e) One-time refundable Usage Deposit as mentioned in Schedule IV
      f) Entity shall pay all fees, rentals, charges, penalties, interest, levies, taxes, reimbursements and/or any other charges/liabilities which may be incurred (directly or indirectly) by PPSL in relation to Paytm Services rendered to the Entity, including charges mentioned in Commercial table under Schedule IV of this Agreement.

   i. Failure on the part of the Entity to make the above payments shall result in:

      a) Late payment fees, penalties, interests, and/or any other charges as may be raised by PPSL.
      b) Netting/set off by PPSL of any and all amounts of the Entity which are accessible to PPSL including from the Escrow Account, and/or the initiation of appropriate legal proceedings against Entity for recovery of its dues and/or blacklisting of Entity
      c) recovering the outstanding rentals and other fees through the UPI Autopay mandate provided by the Entity.

   i. Details of the Fees and Charges are set out in **Schedule IV read with Commercial table o** f this Agreement.

   ii. Entity hereby agrees that rental charges paid by the Entity to PPSL is refundable in accordance with the Refund Policy as per Annexure A.

2. **TRAINING & SUPPORT**

   i. PPSL shall provide the relevant and necessary trainings and support Online and/or Offline mode to the Entity to do transactions efficiently whenever required and as mutually agreed.

   ii. PPSL will provide the necessary maintenance and servicing of the device and/or software Updates, Versions and Releases, whenever it deems fit and necessary.

3. **HARDWARE & SOFTWARE:**

   i. Entity is required to lease the EDC Machine/Device and/or license the Software(s) from PPSL in order to avail the Paytm Services.

   ii. Paytm Services can be availed either by using the software installed on Entity's computer /mobile and/or using the Device.

   iii. PPSL hereby (1) grants to Entity and Entity hereby takes, a limited, non-exclusive, revocable, non-transferable license of the Software(s); and (2) lease/sell to Entity and Entity hereby takes on lease/buy, the Device, both of which are to enable Entity to electronically access and use the Services.

   iv. Maintenance: The Maintenance charge will include certain repairs of Device for 1 (one) year, as per term and conditions prescribed herein:

   Inclusions:

   a) OS corrupt/ Upgrade
   b) PCB failure if not damaged
   c) Any manufacturing defect in internal components if not damaged

v. Exclusions:

d) Loss of Device, Defects due to failure to properly follow the installation process, Damage due to external cause to the Device or modifications to the Device, Improper storage or poor environmental conditions, particularly those related to temperature and hygrometry effects of variations of electric voltage from the electric network or from the earth or repair, opening or attempt to open the Device or maintenance by persons not authorized by PPSL; Normal Wear and tear, Telecommunication problems , Malfunction due to the use of products, consumables or accessories which are non-compatible with the Device; Any repairs post 3 years of installation, Any attempt to hack, reverse engineer, repair, tampering, etc.

i. In event the Device is found to be damaged or in non-working conditions due to any reason including the ones mentioned above, then Entity shall be liable to pay for any repairs /replacement of parts of the Device (if Device is damaged due to any action by the merchant) as may be carried out by PPSL or pay the applicable Device damage fee to PPSL in case the returned Device is beyond repair. PPSL shall have the right to deduct such charges from Entity's payout and/or Usage Deposit.

ii. Replacement: In case the Device provided to Entity is faulty or malfunctioning, PPSL shall replace such Devices at no cost to the Entity. Provided that, in case the said Device is damaged due to Entity's fault, charges against such damaged Device shall be deducted from Entity payout and/or Usage Deposit.

4. **ADDITIONAL COVENANTS OF ENTITY:**

Entity undertakes and covenants to:

i. Use Paytm Services, software or Device(s)only for the business as specified in the Entity Details Form and agreed herein. Entity agrees to inform PPSL, in case of any changes in the information provided in the Entity Details Form;

ii. notify PPSL immediately of any damage, loss, malfunction of Device(s)/ software.

iii. not to reverse engineer, disassemble, decompile or rooting attempt or jail-break or otherwise attempt to discover the source code or trade secrets for the Device(s)/software supplied by PPSL.

iv. not to permit any third person, other than, PPSL its employees, agent, contractor or any other person authorized by PPSL to service or repair the Device(s) and immediately notify PPSL of any malfunction or breakdown of the Device(s).

v. Entity shall be liable for the following: (a) Entity's wrongful or improper use of any Device(s) or PPSL Service. (b) Any Loss or damage to Device; (c) all Transactions submitted by Entity using the PPSL Service (including without limitation the accuracy of any product information that Entity provides or any claim or dispute arising out of products or services offered or sold by Entity); (d) any other party's access and/or use of the Paytm Services with Entity ID, Terminal ID, password or any other appropriate security code provided to Entity;.

vi. Entity shall ensure that Entity's employees shall not ask a Cardholder to reveal the Cardholder's PIN or password.

vii. To not lease or sublease or sell the Device, or give anyone any rights in the Device in any manner;

viii. Entity shall ensure that Device is used with due skill and care, and only in the manner and for the purpose in which it is designed and intended. Entity shall be fully liable for any use or misuse of the terminal(s) that may result in loss, damage, breakage or otherwise alteration of form or function of the Device. Such liability of Entity will entitle PPSL the right to deduct any amount from Entity payouts/ proceeds/ Usage Deposit, as required for repairing, replacing or otherwise taking action to restore such Device as per PPSL' discretion.

ix. not set any minimum or maximum amounts in respect of Transaction values for a customer using the Device.

x. Ensure that the Device(s) password /PIN is restricted to only suitably qualified senior personnel of Entity. In case of any misuse of the Terminal password / PIN by Entity or its staff/ employees, Entity shall be responsible to fully indemnify PPSL from and against all actions, claims, losses, charges, costs and damages which PPSL may suffer or incur as a result of Entity's failure or breach to comply with such controls/ provisions herein,

xi. not to, except with the prior written consent of PPSL, relocate outside the Entity's Outlet or remove any of the Device(s), or associated equipment, including any signage, marketing or advertising material, installed in The Entity's Outlet/POS to any premises or any other Entity's Outlet/POS;

xii. To ensure network connectivity for smooth processing of card transactions via EDC Machine, PPSL has procured SIM cards and assembled them in EDC Machine. In this regards Entity undertakes and agrees to utilize the said EDC Machine and inbuilt SIM cards only for the limited purpose stated in the Agreement and in compliance with all applicable laws, rules and regulations. Entity, further agree and undertakes to be responsible/liable for any costs/damages /losses incurred by PPSL due to Entity's unauthorized/illegal use of EDC Machine or the SIM card fitted in such EDC Machine, and/or any physical damage caused to the EDC machine. In event of breach of this clause by Entity, PPSL shall have the right to terminate the agreement and take such appropriate action as it may deem fit, including but not limited to blacklisting and reporting of Entity to appropriate government authorities.

xiii. that the EDC Machine has to be used actively by the Entity during the subsistence of the Agreement. In event EDC Machine remains inactive for a continuous period of 01 month or if Entity does not pay the monthly rental cost of the Device as mentioned in Schedule IV of this agreement, within 30 days from the due date, then PPSL shall have the right to repossess the EDC Machine provided to the Entity and deduct applicable charges from payout/Usage Deposit of the Entity including but not limited to outstanding rental charges, usage charges, device damage fee, etc. Upon occurrence of such an event Entity shall upon demand, return the EDC Machine to the authorized representative of PPSL without any demur or delay. For clearance of any doubt, a EDC Machine shall be deemed to be inactive if there has not been any transaction of at least Rs. 500/- (Rupees Five Hundred) for a continuous period of 01 month.

xiv. In event Entity opts for zero rental plan, Entity shall ensure that the total value of transactions conducted through EDC Machine, in any given month shall not be less than Rs. 1000, failing which PPSL shall have the right to deduct INR 99 plus applicable taxes from the transaction amount payable to Entity, in case, the payouts are not sufficient to recover such amount then PPSL shall be entitled to deduct such amount from Usage Deposit furnished by Entity.

xv. Entity must collect or ensure that the following documents are collected/made available by its Entity or its sub-merchants (as the case may be), in case of accepting International Cards –

(a) Copy of passport and visa of the Customer
(b) Invoice
(c) Front side photo/copy of the card used for transaction

The aforesaid document(s) must be made available to PPSL on demand.

xvi. Upon termination, all Devices shall be immediately returned by Entity in working condition within 07 working days failing which Entity shall pay the applicable Device damage fee and /or as set out in commercial section of Schedule IV, of this agreement. If the Device is found in non-working condition, then the Device Usage Deposit shall be forfeited by PPSL at its sole discretion and Entity shall immediately pay the balance of the Device Damage Fee without any delay and demur.

5. **Process for undertaking Transactions**

The following terms and conditions shall govern the Paytm Services:

5.1 **Activation & Installation**

(a) PPSL shall provide Entity an Entity ID number and/or Terminal ID number through which the Entity can activate and use the Paytm Services.

(b) PPSL shall assist Entity in installing the Software and activating the EDC Machine for availing the Paytm Services.

5.2 **Processing of Transactions**

(a) When accepting a payment, Entity shall follow the steps provided below:

(i) Entity shall determine that the Card is valid;

(ii) Entity shall obtain the Authorization before completing any Transaction. Where Authorization is obtained, Entity shall be deemed to warrant the true identity of the customer as the valid Card Holder;

(iii) Entity shall not attempt to obtain an Authorization on an expired Card. Transactions shall be deemed invalid on Cards that are expired, whether or not Authorization has been obtained.

(iv) Entity shall obtain the Cardholder's signature on the charge slip, wherever prompted by the EDC Machine, and compare that signature with the signature on the Card;

(v) Entity shall deliver a true and complete copy of the charge slip to the Cardholder, physically or digitally, after the Transaction is completed;

(vi) Non-completion of above requirements will result in the charge being rendered invalid and Entity will require to refund the entire amount irrespective whether goods were supplied or services were delivered, without any demur or delay, as may be required by the PPSL.

(b) Entity undertakes and covenants to PPSL as under:

(i) Each charge slip presented to PPSL for collection shall be genuine and shall not be the result of any fraudulent transaction and shall not be deposited on behalf of any business other than that of Entity.

(ii) Each charge slip shall be the result of a Transaction for the bona fide purchase of goods or services by the Cardholder for the total amount stated on the charge slip.

(iii) Entity shall perform all its obligations to the Cardholder in connection with the underlying Transaction.

(iv) Entity shall ensure that the Transaction itself shall not involve any element of credit for any other purposes other than as set forth in this Agreement and shall not be subject to any defense, dispute, offset or counter claim which may be raised by any Card Holder.

(v) Entity shall ensure that any credit voucher, which it issues, represents a bona fide refund or adjustment on a Card sale by Entity with respect to which a Charge slip has been accepted.

(c) Entity shall not process any Transaction for obtaining or providing a cash advance either on Entity credit card or the credit card of any other party.

(d) Entity should desist from exploiting cash through EDC Machines, benefits on a single Device by swiping a single customer's card multiple times whereby breaking the invoice value in multiple parts to enjoy a revenue on every Transaction. The Entity at all times ensure that threshold and/or hard limits to be strictly abided by the Entity and should not attempt to breach such limits prescribed from time to time.

(e) Subject to the explicit confirmation provided by the Entity, PPSL may enable acceptance of Sodexo cards on EDC Machines through an authorized channel partner/Facility Provider, however the authorization, processing etc. for such enablement shall rest with Sodexo. Further, if applicable, the settlement of all such transaction shall be done by Sodexo directly to the Entity. The associated commercials, terms of engagement shall be as per the agreement executed between the Entity and Sodexo SVC India Pvt. Ltd. (" **Sodexo** ") with no implications, whatsoever at the end of PPSL.

6. **Usage Deposit Terms and Conditions:**

6.1 Entity shall deposit one time interest-free refundable Usage Deposit as mentioned in Schedule IV of this agreement, to ensure proper handling and safe return of the Device to PPSL as per Refund Policy in Annexure A.

6.2 Return of Device – Entity may return the Device to PPSL at any time subject to Refund Policy in Annexure A and the following conditions:

a) Device returned shall not be damaged (barring normal wear and tear) and should be in proper working condition. In case PPSL finds the device damaged/non-working, PPSL shall deduct charges against repair of such damage from Entity's payout and/or Usage Deposit;
b) Any damage to the Device shall be compensated by the Entity;
c) Device shall not be tampered in any manner;
d) Any other terms and condition as may be specified by PPSL from time to time for return of Device;
e) Payment of early usage charges, as applicable.
f) Penalty in case of not meeting the minimum transaction value as mentioned in Schedule.

6.3 The Terms for refund of Usage Deposit are mentioned under Refund Policy under Annexure A to this Agreement.

6.4 Forfeiture of Usage Deposit for any Device shall be done by PPSL as per Refund Policy under Annexure A to this Agreement prior to the Return Period for any activity done by Entity as below:

a) Any activity conducted in violation of applicable law.
b) Failure to comply with the terms and conditions under the Agreement for use of Device and Paytm Services provided hereunder.

7. **Additional Terms of American Express Banking Corp (“Amex”):**

I. Terms and Conditions for accepting payments through American Express cards (“Amex Cards”)

A. Entity shall accept payments through Amex Cards in accordance with the terms set out herein and the rules as set out by Amex from time to time;

B. Entity expressly agrees that PPSL can submit transactions to, and receive settlement from, Amex on behalf of the Entity;

C. Entity acknowledges that if required by Amex, the services pertaining to Amex may be assigned to Amex or Amex’s designee and further the Entity authorizes PPSL to share data from transactions with Amex and Amex Entities

D. Entity acknowledges that it shall:

i. not engage in activities that harm Amex business or brand or indicate or imply that they prefer, any other payment products over the Amex Card;

ii. not try to dissuade Cardholder from using the Amex Card;

iii. not criticize or mischaracterize the Amex Card or any of Amex services or programs;

iv. not try to persuade or prompt Cardholders to use any other payment products or any other method of payment (e.g., payment by cheque);

v. not impose any restrictions, conditions, or disadvantages when the Amex Card is accepted that are not imposed equally on all other payment products (except where expressly permitted under applicable law);

vi. permit Transaction data concerning use of Amex Card and other information about the Entity to be shared with Amex, Amex entities or its or their licensees, agents, sub-contractors and employees as appropriate and accept Amex card as per the principal agreement between PPSL and Amex.

vii. not assign to any third party any payments due to it and all indebtedness arising from charges will be for bona fide sales of goods or services (or both) at its establishments and free of any liens, claims, and encumbrances other than ordinary sales taxes.

E. Entity acknowledges that PPSL may terminate the facility for accepting Amex card by giving a reasonable notice of 3 (three) Business days, in the event that Amex determines (acting reasonably) that the maintenance of the relationship with the Entity is not in the best interests of Amex or the Amex brand including but not limited to the following reasons:

i. Relationship is not in the best interests of the Amex brand due to high fraud experience wherein the fraud to gross sales ratio is equal to 8% for a continuous period of 3 months or as specified Amex from time to time

ii. Chargeback to gross sale ratio is higher than 8% of the gross sales for a continuous period of 3 months or as specified in the Amex business operating policies from time to time

iii. In case of non-compliance or breach of any regulation.

iv. Material breach or default in goods and services,

v. Unequal treatment of Amex cardholder,

vi. In case the Entity falls in the negative list of U.S. Department of the Treasury's Office of Foreign Assets Control.

vii. In case a Entity allows and accepts the Amex Card for any Prohibited use.

For the purposes of this clause the Prohibited Use shall mean that Card should not be accepted for purposes of transactions other than bona fide purchase by cardholder of goods and services from the Entity. This means, by way of example and not limitation, that Entity must not accept the Amex Card for: (i) damages, losses, penalties, or fines of any kind; (ii) costs or fees over the normal price of Entity’s goods or services (plus applicable taxes) or charges that cardholder have not specifically approved; overdue amounts, or amounts covering returned or stop-payment cheques; (iv) gambling goods or services; (v) adult digital content sold via the internet; (vi) cash back or cash equivalents; (vii) sales made by third parties; (viii) amounts that do not represent bona fide sales of goods or services at Entity’s establishments, e.g., purchases at Entity’s establishments by Entity’s owners (or their family members) or employees or any other Person contrived for cash flow purposes; (ix) goods or services for which the provision is illegal under laws applicable to Amex, Entity, or the cardholder (e.g., drug trafficking, online / internet sales of prescription medications, sales of any goods that infringes the rights of the rights-holder); (x) investment made on future maturity of goods / services with an intention of gaining return on investment or (xi) other items of which Amex will notify from time to time.

II. It is agreed by the Entity that PPSL may enable acceptance of AMEX cards on EDC Machines through an authorized channel partner/Facility Provider, however the authorization, processing etc. for such enablement shall rest with AMEX. Further, if applicable, the settlement of all such transaction shall be done by AMEX directly to the Entity. The associated commercials, terms of engagement shall be as per the agreement executed between the Entity and American Express Banking Corp. (AMEX) with no implications, whatsoever at the end of PPSL.

8. ***Manner of Payment using HDFC Flexipay:***

Terms and Conditions for accepting payments through HDFC Flexipay:

1. Entity enters the transaction amount on EDC machine
2. Customer Inserts/swipe the HDFC debit card in/over the machine
3. Customer is prompted to select the payment mode, such as Pay in Full, Brand EMI and offers, Bank EMI and offers, HDFC Flexi pay (This will be displayed only if Entity is enabled for HDFC Flexi pay)
4. Upon selection of HDFC Flexipay, the Customer is taken to the tenure/plan selection screen where the various possible options of plans (e.g. 15, 30, 60, 90) are shown along with the payment schedules.
5. The Customer selects the desired plan and is shown the summary for confirmation
6. Entity/Customer enters invoice number and customer mobile number in the next screen.
7. Once the user eligibility is successful, Customer is prompted to enter the PIN for verification and the transaction gets completed.
8. Receipt is generated for such transaction, with all plan details.

9. **Provisions relating to Dynamic Currency Conversion ("DCC"):**

i. Entity agrees that Entity shall explain Dynamic Currency Conversion ("DCC") charges to the Customer. DCC is "a solution that provides international customers with a choice to pay for their purchases in India in their card billing currency". Current DCC charges shall be Rs. 0.00% per transactions plus applicable taxes. Entity agrees with current commercials and agrees that there may be changes for the same in future.

ii. Entity agrees to use DCC feature for providing a product or service and not for card to cash or any other non-intended purposes.

iii. Entity agrees that Entity shall obtain Customer's consent while selecting the DCC option or the Customer shall select the option to pay the conversion / mark up fees or any other such name called. Under no circumstances Entity shall select the DCC option without Customer approval.

iv. Any loss/profit arising from currency conversion due to refund/void/chargeback will be Entity's responsibility including any processing time delays. As per present configuration, in case of refund, customer will be refunded the amount equivalent to INR transaction amount settled to the Entity excluding conversion / mark-up fees converted to the customer's billing currency at the prevailing rate.

v. In case of processing a refund, Entity agrees to bear currency conversion fees applicable while processing the refund

vi. In case of chargeback, Entity agrees to provide required documents including but not limited to Customer's signed copies of passport, invoice & charge slip during applicable chargeback period, the same will be provided to PPSL whenever requested.

vii. In the event of failing to justify a chargeback, the equivalent amount would be recovered from Entity with applicable penalty, if any. Under such circumstances, Incentive if any, would also be recovered as deemed fit by PPSL.

10. **Terms & Condition for Brand EMI, Bank EMI, Instant Discount/Subvention Services :**

Subject to the confirmation provided by the Entity, PPSL may enable the Brand EMI, Bank EMI and/or Instant Discount, Instant Subvention and cashback offers as per the below mentioned terms & conditions:

(a) Brand will share a list of Goods/Product eligible for Brand EMI, Bank EMI, Instant Discount, Instant Subvention and cashback based affordability offers/services and its related subvention amount on daily/Weekly/Fortnightly/ Monthly basis with the Entity /Issuing Bank/PPSL.

(b) Brand will check the Transaction details shared (whether eligibility of Goods/Product, period) and pay the due subvention/cashback amount to PPSL.

(c) PPSL will then share this due subvention amount to the Issuing Bank along with details of the Transactions and the Issuing Bank will then reimburse the same to the Customer.

(d) Entity agrees that the cashback or subvention amount will be settled to Entity only if the same are received from the Bank / Brand. In the event the cashback/subvention amount is not received by PPSL from the Brand / Bank, then PPSL shall not be liable to pay such cashback /subvention /discount amount to the Entity. If the said cashback /subvention /discount amount has been settled by PPSL then PPSL shall deduct the same from future payments to the Entity.

(e) In the event the Brand does not pay/reimburse the subvention/cashback amount to PPSL for cases where the Goods/Product is not eligible as per the Brand or any other reason whatsoever, the Entity shall pay such subvention/cashback amount to PPSL who will then give it to the Issuing Bank and the Issuing Bank will reimburse the same amount to the Customer.

(f) PPSL may facilitate an instant discount/instant subvention option on selected Brand Stock Keeping Unit (SKUs) as communicated by the Brand. The Entity shall provide an upfront discount on goods/ services as per the terms communicated by the Brand / PPSL with the Entity. The discount component or part of the discount component shall be given back by the Bank / Brand to the Entity as per the separate arrangement between the Entity and the Brand. The settlement of such discounted amount to Entity shall happen within 60-90 days from the end of month in which transaction completed or T+1 days or such other period as agreed between the between the Entity and the Brand.

(g) **Additional Terms and Conditions for Brand EMI Instant Cashback Scheme Settlement:**

i. PPSL shall settle an instant discount to the Entity once the same is received from the Bank /Brand i.e. in the tenure of 60-90 days from the end of month in which transaction completed. For the purpose of clarification, PPSL shall raise invoice/debit note to Entity on monthly basis as per the commercial table mentioned in Schedule IV.

ii. Subject to confirmation provided by the Entity, the Entity may opt for settlement of instant discount in T+1 days by paying an early settlement fee as mentioned in the Schedule IV on each settlement of such discount amount. The Entity agrees that this amount shall be deducted on an upfront basis by PPSL while making settlement to the Entity. PPSL shall raise an invoice of early settlement fees at the end of every month (which was deducted on upfront basis) to the Entity.

iii. It is agreed between the Parties that, subject to any instant cashback offer or scheme introduced by any Brand and agreed by the Brand to bear the charges towards the same shall be borne by respective Brand for their product /services and PPSL shall not charge the Entity for the same. In this case the instant cashback amount payable to the Entity shall be paid by the Brand directly.

iv. In case of refund/or cancellation of a transaction for which amount of instant discount is already transferred to the Entity shall be adjusted from the subsequent settlement of such amount of discounts.

(h) **Additional Terms and Conditions for Brand EMI Instant Subvention (My EMI) Settlement Scheme:**

i. Upon activation of this scheme wherein Brand and Entity being the same company, PPSL shall settle the subvention amount to the Entity in T+1 day of transaction completed. Upon activation, PPSL shall- (i) in a situation where the Entity is currently not live on PPSL aggregator model and receives funds/ transaction settlements (excluding the instant subvention) via the Acquiring Bank, only settle the instant Offer amount to the Entity account after deducting the retailer Program fees charged by PPSL. (ii) in a situation where the Entity is currently active on PPSL aggregator model, disburse to the Entity, the transaction amount as per agreed process, (in writing) post deduction of instant subvention amount (if any) and the retailer program fees charged by PPSL. Accordingly, the Entity shall bear the instant discount or instant subvention.

ii. For the purpose of clarification, PPSL shall raise an invoice of early settlement at the end of every month (which was deducted on upfront basis) to the Entity.

iii. The Entity agrees that, this Subvention amount can be offered as the instant discount and settlement will happen only the amount net of the subvention amount and Paytm fees as applicable.

iv. Entity acknowledges and authorize PPSL, to deduct the instant Subvention amount and Paytm Fees before settling the funds into the Entity's account.

Schedule IV

I. **Entity Details Form**

Stamp Paper Number	IN-DL13568158378973Y
Entity Name	LAGOON CRAFT LABS SOLUTIONS PRIVATE LIMITED

Entity Address	BUILD UP PROPERTY BEARING NO. P-9 FIRST FLOOR , EXTN., 1 MOHAN GARDEN New Delhi,WEST,Delhi,110059
Nature of Entity (Sole proprietorship/ Partnership/ Private limited/Trust/LLP/ Others pl. specify)	PRIVATE LIMITED
Nature of Industry Entity is operating in (Nature of products/services sold)	Service and Utilities(Software Developments & Web Hosting/Design)
Nature of Paytm Services Availed	EDC

Fees and Charges for Offline PG Services - to be read with the Master Agreement

Entity shall pay to PPSL, the fees as detailed below:

Particulars	**Fee**
Setup Fee (Rs.)	Waived off
Annual Maintenance Charges (Rs.)	Waived off
Commission for UPI Merchant Discount Rate MDR - %	NA
Commission for Debit Card	As Agreed between the Acquiring Bank and Entity and shall be governed under the Agreement between them.
Commission for Credit Card	As Agreed between the Acquiring Bank and Entity and shall be governed under the Agreement between them.
Fraud Liability of Entity	100%
Chargeback liability of Entity	100%

For any other Payment Instrument(s), the commercials shall be as mutually agreed between the Parties by way of addendum.
The above fees are exclusive of all applicable taxes (including GST), governmental charges, levies, and duties etc., which are required to be paid over and above.
The MDR shall be subject to applicable laws.
If Entity's turnover is less than or up to INR 20 lakhs during the previous financial year then such Entity shall be categorized as a small merchant.
If Entity's turnover is above INR 20 lakhs during the previous financial year then the Entity shall be categorized as a big merchant.
Regardless of self-declaration of categorization by Entity, their rates, for the settlement purpose, shall be decided by PPSL on the basis of aforesaid categorization.
In case, Entity has wrongly declared itself as a small merchant, such status shall automatically be converted to big merchant, on identification. In such cases no additional rate revision consent shall be taken from the Entity.
Entity acknowledges that the self-declaration as to small or big merchant status, is Entity's responsibility and the Entity shall be solely liable towards claims, actions, damages or losses arising out of in relation thereto.

Fees and Charges for Android EDC Machine/Device Services - to be read with the Master Agreement

Entity shall pay to PPSL, the fees as detailed below:

Android EDC Basic Plan	
Particulars	**Fee/Charges**

<table>
<tr><td>Software License Fees (SLF)
SLF is charged monthly to the Entity for providing PPSL payment software on EDC Machines that process card and QR transactions on EDC Machines</td><td>Android EDC</td><td><table><tr><td>Monthly</td><td>MONTHLY RENTAL 300 PLUS GST PER DEVICE PER MONTH FROM MERCHANT VIA INVOICE
/-</td></tr><tr><td>No Rental Plan</td><td>NA</td></tr><tr><td>Rental charges (paid as advance amount)</td><td>NA</td></tr></table></td></tr>
<tr><td>Rental (if applicable)/ Software License fee Refund</td><td>Android EDC</td><td>As Per Schedule IV</td></tr>
<tr><td>One time setup fee (Inclusive of GST)</td><td>Android EDC</td><td>NA</td></tr>
<tr><td>Annual Maintenance Charge (AMC)</td><td>Android EDC</td><td>NA</td></tr>
<tr><td>Refundable Usage Deposit</td><td>Android EDC</td><td>NA</td></tr>
<tr><td>EMI-One time setup fee (Inclusive GST)</td><td colspan="2">NA</td></tr>
<tr><td>International Card One time setup Fee (Inclusive GST)</td><td colspan="2">NA</td></tr>
<tr><td>EMI-monthly fee (Exclusive GST)</td><td colspan="2">NA</td></tr>
<tr><td>Additional Surcharge for EMI (per transaction)</td><td colspan="2">BRAND EMI 0.50%(if applicable)
BANK EMI 0.50%(if applicable)</td></tr>
<tr><td>Commission for Sodexo Cards (If Applicable)</td><td colspan="2">As Agreed between the Acquiring Bank / Sodexo and Entity and shall be governed under the Agreement between them.</td></tr>
<tr><td>Commission for AMEX Cards (If Applicable)</td><td colspan="2">NA</td></tr>
<tr><td>Commission for HDFC Flexipay (If Applicable)</td><td colspan="2">1.50%</td></tr>
<tr><td>Commission for RuPay Credit Card through UPI (If Applicable)</td><td colspan="2">1.99%</td></tr>
<tr><td>Chargeback liability of Entity</td><td colspan="2">100%</td></tr>
<tr><td>Maximum penalty/charges for damage done to the EDC Machines or loss of EDC machines</td><td colspan="2">Rs. 15,000/-</td></tr>
</table>

Rs. 600/- claim will be taken as a processing fee from the merchant in case damage claim and new AMC will be collected against the new device given to the merchant.
AMC has moratorium period of 15 days from the date of purchase
Merchant can only take one claim per device per year
For any other Payment Instrument(s), the commercials shall be as mutually agreed between the Parties by way of addendum.
The above fees are exclusive of all applicable taxes (including GST), governmental charges, levies, and duties etc., which are required to be paid over and above.
The MDR shall be subject to applicable laws.

Abovementioned Rental will be adjusted from payouts. If PPSL is not able to recover the rentals from the payouts then PPSL shall recover the same thourgh the Entity’s Bank account through the UPI Autopay Mandate provided by the Entity.
If Entity's turnover is less than or up to INR 20 lakhs during the previous financial year then such Entity shall be categorized as a small merchant.
If Entity's turnover is above INR 20 lakhs during the previous financial year then the Entity shall be categorized as a big merchant.
Regardless of self-declaration of categorization by Entity, their rates, for the settlement purpose, shall be decided by PPSL on the basis of aforesaid categorization.
In case, Entity has wrongly declared itself as a small merchant, such status shall automatically be converted to big merchant, on identification. In such cases no additional rate revision consent shall be taken from the Entity.
Entity acknowledges that the self-declaration as to small or big merchant status, is Entity's responsibility and the Entity shall be solely liable towards claims, actions, damages or losses arising out of in relation thereto.

Fees and Charges for Brand EMI Cashback Scheme Settlement - to be read with the Master offline Agreement:

i. PPSL shall settle an instant discount to the Entity and shall raise invoice/debit note to Entity on monthly basis as per the commercial table mentioned below.

Settlement Frequency for Instant discount component	***Charges (inclusive taxes)***
Settlement within 60-90 days from the month end of transaction	NIL
Settlement within T+1 days from the date of transaction for the rest of the period.	(a) 1.75%+ GST(if invoice is raised); or (b) 1.75% if debit note raised

SCHEDULE V
VALUE ADDED SERVICES

At the request of the Entity, PPSL agrees to facilitate and Entity agrees to accept such Value Added Services on the terms as prescribed by the third party service provider and also this Schedule for such consideration in the form of VAS Fees as detailed hereinbelow. The Parties agree and acknowledge that the Value Added Services, shall be in addition to the Paytm Services provided by PPSL for the Entity and to improve overall Entity and Customer experience while undertaking transactions on Device.
The Entity agrees and acknowledges that the VAS shall be provided at the sole and exclusive discretion of the third party service provider and in accordance with terms prescribed by such third party service provider. PPSL is only a facilitator of VAS and shall have no liability/responsibility, whatsoever, with regard to the VAS.
The Entity specifically agrees and authorizes PPSL to deduct VAS fees as charged by the third party service provider from the Settlement Amount .
It is explicitly clarified that all Value Added Services are optional and will be provided and billed only if the Entity provides its explicit consent for the same.
The Entity unconditionally authorizes PPSL to share its personal data and other relevant information with the third party service provider for availing VAS. By opting for VAS, The Entity hereby explicitly consent to sharing of its information (including but not limited to personal identifiable information) required by the third party service provider for the purposes of providing VAS.
The Entity understands that VAS is a third-party product and PPSL makes no representation or warranty regarding the merchantability, usability, appropriateness and fitness of the VAS opted by them. The Entity further understands and acknowledges that any issues(including but not limited to claims) pertaining to VAS voluntarily opted by them shall be handled by the third party service provider and neither PPSL nor its employees/officers/subcontractors/representatives shall incur any liability in respect of the same.
Entity, hereby, undertakes and acknowledges that it is aware of the features of the VAS and the amount payable for availing the VAS and has voluntarily agreed to avail the VAS and make payment for the same. Entity shall be issued a separate receipt for the amount paid by it for availing the VAS.

The VAS is an Insurance Policy (“Policy”) provided to the Entity who avails Paytm Services. The Policy will be provided by a third party insurance provider (“Insurer”), whose name will be mentioned in the

Policy document, through PPSL which is a Group Master Policyholder. This Value-Added Service is optional and provided with the consent of the Entity. The Entity has the option to stop the VAS by requesting the stoppage to the Customer Service as mentioned below.
The Entity understands that the Policy shall be issued by the Insurer at the request of the Entity. The Entity further agrees that the issuance of the Policy shall be at the sole and exclusive discretion of the Insurer and PPSL shall have no responsibility of the same. The decision of the Insurer is conclusive and binding in this regard.

The Policy shall be governed by the terms and conditions as mentioned in the Policy document issued by the Insurer. The Entity shall be bound by such terms and conditions .The Entity agrees and acknowledges that any claim made by the Entity under the Policy shall be the sole and exclusive responsibility of the of the Insurer and PPSL or its employees/ officers shall have no responsibility/liability whatsoever with regard to any claim (including but not limited to third party claims) or dispute arising from the Policy issued to the Entity by the Insurer.
Customer Service
In case of any assistance or customer service needs with regards to Shop Insurance, you may email at care@paytminsurance.co.in or call 91 882 6390 016.

Annexure – A
Refund Policy

The following lists down the charges that are required to be paid by Entity to PPSL in the event of return, replacement, reverse pick up, loss and/or upgrade of EDC device provided by PPSL to Entity. The below provisions are to be read with the Master Offline Agreement and the Schedules appended thereto.
Refund will be processed 60 days after the device is picked up from the merchant location. In case the device is lost, merchant needs to send written notification to PPSL so that device cannot be misused by anyone else.

S No.	Scenario	Description	Policy	Penalty/Charges	Additional Comments
1	Return/Rental Refund.	Entity wants to return the device and discontinue the service	**Entity shall pay to PPSL the following amounts-** a. Usage charges b. Pending rental c. Damage charges If the total recovery is < Usage Deposit (UD) --> Refund the balance amount If the total recovery is > UD --> mark it as payout	**Usage charges -** 1-3 months of usage --> 25% of UD 3-6 months of usage --> 50% of UD 6-9 months of usage --> 75% of UD 9+ months --> 100% of UD	**For monthly plan -** If the return is before 30 days --> Refund full UD but rental is not refunded (if there is no damage. In case of damage, the damage amount is adjusted from UD) **For annual plan -** within 15 days --> full refund 15 to 30 days --> 75% refund

			outstanding on the Entity ID.		more than 30 days - no refund
2	Replacement	Device is damaged and Entity wants to replace the device	PPSL shall Issue the android device as new sale, collect new UD and rental for the android device. PPSL shall take back the old device and adjust the recovery charge from the old UD as per the return policy.		
3	Reverse pickup	Picking up the device for non-transacting Entity. Non transacting is defined as no single transaction in last 60 days or rent is unpaid for 60 days	Same as Return policy		
4	Lost case	Case 1 - Entity has lost the device and wants a replacement	**Annual Plan Entity -** PPSL shall Issue the new device and activate the plan for remaining months only. E.g. - If the device is lost after 7 months of usage then take back Rs. 6000/- as penalty and issue new device for 5 months only and renew after 5 months **Monthly Plan Entity -** PPSL shall Issue the new device without any Usage Deposit	**Penalty amount (to be charged via QR)** **Android** <12 months old - Rs 6000 12 - 24 months - Rs 4500 24 to 36 months - Rs 3000 **Linux** <12 months old - Rs 5000 12 - 24 months - Rs 3500 24 to 36 months - Rs 2500	
		Case 2 - Entity wants to discontinue the service	**Annual Plan Entity -** If the Entity doesn't want the device then - Penalty + Usage /Handling charges will be adjusted from the annual rent paid If remaining annual rent is less than the	**Penalty amount (to be charged via QR)** **Android** <12 months old - Rs 6000 12 - 24 months - Rs 4500 24 to 36 months - Rs 3000	

			amount to be taken back then remaining amount to be charged to his Paytm MID **Monthly Plan Entity -** If the Entity doesn't want the device then - Penalty + Usage /Handling charges will be adjusted from the Usage Deposit If Usage Deposit amount is less than the amount to be taken back then remaining amount to be charged to his Paytm MID	**Linux** <12 months old - Rs 5000 12 - 24 months - Rs 3500 24 to 36 months - Rs 2500 **Usage / Handling charges -** 1-3 months of usage --> 25% of UD 3-6 months of usage --> 50% of UD 6-9 months of usage --> 75% of UD 9+ months --> 100% of UD	
5	Upgrade	Entity wants to upgrade the device from Linux to Android	PPSL shall Issue the android device as new sale - collect new UD and rental for the device PPSL shall take back the old device and adjust the recovery charge from the old UD as per the return policy		

The following lists down the charges that are required to be paid by Entity to PPSL in the event of return, replacement, reverse pick up, loss and/or upgrade of Sound Box provided by PPSL to Entity. The below provisions are to be read with the Master Offline Agreement and the Schedules appended thereto.

S. No.	Scenario	Description	Policy
1	Return / Reverse Pickup	Merchant wants to return the device and discontinue the service or device is picked up due to non-usage.	No Refund of Rental and Usage /Security Deposit
			Damage cost will be recovered from the payout on the merchant MID
2	Replacement	Device is damaged by merchant and merchant wants to replace the device	Issue a new device as new sale - collect new usage deposit and rental for the device
			Take back the old device and adjust the recovery charge as per the return policy

The following lists down the charges that are required to be paid by Entity to PPSL in the event of discontinuation of EMI/ Brand EMI Plan provided by Brand to Entity. The below provisions are to be read with the Master Offline Agreement and the Schedules appended thereto.

S. No.	Scenario	Description	Policy

1	Return/Rental Refund	Merchant wants to discontinue the service.	0-1 months of usage: Rs 1000 refunded
			After 1 months of usage: No refund
			No refund of already collected EMI rent, the subscription will stop for the following month

The following lists down the charges that will be adjusted by PPSL in the event of return, replacement, reverse pick up, loss for Super Saver Plan provided by PPSL to Entity. The below provisions are to be read with the Master Offline Agreement and the Schedules appended thereto.

Super Saver Plan Refund policy	Month 0 to 3	Month 4-6	Months 7-9	After 9 months
	full deposit will be refunded	50%	25%	No refund

Fair use terms:
If a Entity is found to be misusing Credit cards (CC GTV> 60% of overall GTV), Entity;s MDR will be switched to standard rates (1.4% grocery and 1.99% for others).

Upon receipt of the EDC/Device by PPSL from Entity, PPSL shall refund the applicable amount for the EDC /Device payable under this Agreement within 60 (sixty) days from such receipt of EDC/Device.

In case of loss of EDC Machine/Device, Entity shall send a written notification immediately to PPSL regarding such loss to prevent any misuse of EDC Machine/Device.

The Parties have here unto agreed on the e-Agreement

On Behalf of: **Paytm Payments Services Limited** **Authorised Signatory Name: Parakram Singh** **Designation: Associate Vice President** **Effective Date:** Ankit Singhal 18-06-2026 19:33:29 IST	**On Behalf of: Entity** **Authorised Signatory Name: SHAILESH KUMAR PANDEY** **Date:** SHAILESH KUMAR PANDEY 18-06-2026 19:33:19 IST

PPSL AGREEMENT - LAGOON CRAFT LABS SOLUTIONS PRIVATE LIMITED - FINAL AUDIT REPORT

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CREATED TIME:	18-06-2026 18:24:34
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Signature Date : 18-06-2026 19:33:16 IST Time Source: server

Document viewed and e-signed by parakram.singh@paytmpayments.com (parakram.singh@paytmpayments.com)

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Agreement completed.

18-06-2026 19:33:29 IST